



PT MASMINDO

DWI AREA

Preparing to
Unlock Value





Note to the Readers of the Report Cautionary Note on Forward-looking Statements

This document may contain statements regarding the Company's plans, projections, strategies and objectives that are not statements of historical fact and should be treated as forward-looking statements based on applicable laws. Forward-looking statements are subject to risks and uncertainties that may cause actual events, and the Company's future results, to be different than expected or indicated by such statements. No assurances can be given that the results anticipated by the Company, or indicated by such forward-looking statements, will be achieved.

Catatan untuk Pembaca Laporan Peringatan atas Pernyataan-pernyataan Mengenai Masa Depan

Dalam dokumen ini mungkin terdapat pernyataan mengenai rencana, proyeksi, strategi dan tujuan tertentu Perseroan, yang bukan merupakan pernyataan fakta historis dan perlu dipahami sebagai pernyataan mengenai masa depan berdasarkan hukum yang berlaku. Pernyataan mengenai masa depan tergantung pada risiko dan ketidakpastian yang dapat menyebabkan keadaan dan hasil aktual Perseroan di masa depan berbeda dari yang diharapkan atau diindikasikan. Tidak ada jaminan bahwa hasil-hasil yang diantisipasi oleh Perseroan, atau diindikasikan oleh pernyataan-pernyataan mengenai masa depan, akan tercapai.

Preparing to Harness Potentials

2019 was an exciting year for the Company, in which the Company recorded a number of significant advances, namely in financing, exploration, human resources, as well as licensing and permits.

The company is partnering with PT Indika Energy Tbk as a strategic partner to take Awak Mas Project to the next level.

During the past year, the Company continued to explore and strengthen our Definitive Feasibility Study. This exploration produced additional data to support the project development plan.

In the HR sector, the company recruited experienced personnel who have extraordinary talents and are able to adapt to a dynamic and lean corporate culture.

All these preparations were carried out with regards to integrity as one of our values. During our preparation for operations, we set high ethical standards, honor our commitments, and seek relationships that are mutually beneficial. With high integrity, we are ready to tap hidden potentials deep down in Luwu, South Sulawesi.

Bersiap Menggali Potensi

2019 merupakan tahun yang menggembirakan bagi Perusahaan, di mana Perusahaan mencatatkan sejumlah kemajuan signifikan, baik di bidang pembiayaan, eksplorasi, sumber daya manusia, maupun lisensi dan perizinan.

Perusahaan menggandeng PT Indika Energy Tbk sebagai mitra strategis untuk membawa Proyek Awak Mas ke level selanjutnya.

Sepanjang tahun lalu, Perusahaan terus melakukan eksplorasi untuk mendukung Studi Kelayakan Definitif yang sudah dilakukan. Eksplorasi ini menghasilkan tambahan data-data yang memperkuat rencana pengembangan proyek.

Di bidang SDM, perusahaan merekrut tenaga-tenaga berpengalaman yang memiliki bakat luar biasa dan mampu beradaptasi dengan budaya Perusahaan yang dinamis dan ramping.

Seluruh persiapan ini dilakukan dengan tetap berkomitmen pada integritas sebagai nilai Perusahaan. Dalam mempersiapkan operasinya, Perusahaan selalu menetapkan standar etika yang tinggi, menghormati komitmen, dan menjalin hubungan yang saling menguntungkan. Dengan integritas tinggi, Perusahaan bersiap menjaring potensi yang tersimpan di bumi Luwu, Sulawesi Selatan.



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Board of Directors' Report

Laporan Direksi



Dear Stakeholders,

Following the release of our Awak Mas Gold Project DFS in late 2018, the step change in our business has been the development of a strong strategic relationship with our partner PT Indika Energy Tbk and their investment plan of USD 40 million which will be carried out in 2 (two) stages.

We are funded to deliver the next phase in project establishment during 2020 that includes engineering design, land compensation, permitting for a Tailings Storage Facility (TSF) and development of an effective contracting strategy for construction in 2021.

I am pleased to report a safe year with no serious injury or loss, driven by a demonstration of our values and safe behavior.

Our Project team has been proactive with scenario planning and are maintaining site activity through longer rosters, additional medical services and an industry standard quarantine process for any people returning to work.

Our External Affairs team have been active in communication within the Luwu Regency in SE Sulawesi and we have the support of our local communities in maintaining "Our License to Operate".

A focus on "Our People" and a well-planned recruitment effort has attracted exceptional talent, who fit the culture of a dynamic lean organization respectful of diversity when operating in a remote environment.

Corporate establishment has also been strengthened by the early engagement of an experienced in-house team with established capabilities in areas of finance, legal and regulatory compliance, external relations, human resources, information and communication technology.

We have seen the effective migration of management accounting to Pronto and the launch of a program to further develop our human resource systems to support effective HR 'end to end' people processes. Regulatory compliance, job grading, remuneration benchmarking and on-boarding have been priorities.

Pemangku Kepentingan yang terhormat,

Menyusul peluncuran Studi Kelayakan Definitif Proyek Awak Mas pada akhir 2018, bisnis Perusahaan mengalami perubahan positif dengan terjalinnya kemitraan strategis dengan PT Indika Energy Tbk, dengan rencana penyertaan investasi sebesar USD 40 juta yang akan dilakukan dalam 2 (dua) tahap.

Perusahaan memiliki dana untuk melanjutkan proyek ke tahap berikutnya pada 2020 yang mencakup desain teknik, kompensasi lahan, perizinan untuk Fasilitas Penyimpanan Tailing (TSF) dan strategi kontrak yang efektif untuk masuk di tahap konstruksi pada 2021.

Dengan senang hati saya melaporkan, 2019 merupakan tahun tanpa cedera atau kerugian serius, karena kepatuhan Perusahaan pada nilai-nilai dan praktik perilaku aman.

Tim Proyek secara proaktif telah membuat perencanaan dan skenario untuk menjaga aktivitas di site tetap berjalan dengan jadwal kerja yang lebih panjang, tersedianya layanan medis tambahan, dan proses karantina dengan standar industri untuk setiap orang yang kembali ke site.

Tim External Affairs aktif menjalin komunikasi di Kabupaten Luwu, Sulawesi Tenggara dan Perusahaan mendapat dukungan dari masyarakat lokal untuk melakukan aktivitas operasional.

Fokus kami pada pengembangan SDM dan aktivitas rekrutmen yang terencana telah menarik bakat-bakat luar biasa yang sesuai dengan budaya Perusahaan yang dinamis, menghormati keragaman, dan beroperasi di area terpencil.

Perusahaan juga diperkuat oleh tim internal yang berpengalaman dengan kapabilitas di bidang keuangan, kepatuhan hukum dan peraturan, hubungan eksternal, sumber daya manusia, teknologi informasi dan komunikasi.

Kami telah melakukan migrasi akuntansi manajemen ke Pronto dan meluncurkan program pengembangan SDM lebih lanjut untuk mendukung proses 'end to end' yang efektif. Kepatuhan terhadap regulasi, sistem penilaian pekerjaan, tolok ukur remunerasi, dan proses on-boarding menjadi prioritas kami.



Board of Directors' Report | continued

Laporan Direksi



In the interim, while recruiting an in-house capability for project controls, the Project engaged an experienced team of industry renowned, legal, commercial / contracts and project systems specialists.

With a strategy to maintain momentum and prioritize work activities throughout the pandemic, I am proud of our Board commitment and team dedication to maintain our progress towards delivering our first gold mine.

Sementara itu, kami juga merekrut tim internal untuk memonitor proyek dengan melibatkan tim berpengalaman yang terdiri dari spesialis industri tambang, hukum, komersial/kontrak, dan sistem proyek.

Dengan strategi menjaga momentum dan menetapkan prioritas kerja selama pandemi, saya bangga atas komitmen Dewan Direksi dan dedikasi tim kami dalam mewujudkan tambang emas pertama kita.

Neil Whitaker

Director | Direktur (CEO)



The step change in our business has been the development of a strong strategic relationship with our partner **PT Indika Energy Tbk** and their staged investment of **USD40M**.



A safe year with **no serious injury or loss**, driven by a demonstration of our values and safe behavior.



2019

Bisnis Perusahaan mengalami perubahan positif dengan terjalinnya kemitraan strategis dengan **PT Indika Energy Tbk** dan penyertaan investasi sebesar **USD40 juta**.

Merupakan **tahun tanpa cedera** atau **kerugian serius**, karena kepatuhan Perusahaan pada nilai-nilai dan praktik perilaku aman.



We are funded to deliver the next phase in project establishment during 2020 that includes **engineering design, land compensation, permitting for a Tailings Storage Facility (TSF)** and **development of an effective contracting strategy** for...

2020

Perusahaan memiliki dana untuk melanjutkan proyek ke tahap berikutnya pada 2020 yang mencakup **desain teknik, kompensasi lahan, perizinan untuk Fasilitas Penyimpanan Tailing (TSF)** dan **strategi kontrak yang efektif** untuk masuk...



construction in 2021.

2021

tahap **konstruksi** pada 2021.

Board of Commissioners' Report

Laporan Komisaris



Dear Stakeholders,

Firstly, I would like to wish all of our stakeholders and their families a safe and healthy 2020 as Indonesia, Australia and the world continues to deal with the COVID-19 pandemic impact. We understand this is a time of uncertainty, volatility and challenge. Business and personal plans will continue to adapt and evolve. At Masminindo, our Executive is first and foremost focused on the wellbeing of our people and communities as we formulate and implement policy and response.

As a board and executive, we are tasked with looking forward and an Annual report is an opportunity for reflection of achievements. I am extremely proud of our 2019 outcomes. We continue to advance the Awak Mas Gold Project to development. The key highlight of 2019 was finishing the year with a clear funding pathway and a work program to start Early Capital works in 2020.

At the project level, we are well funded with Indonesian partner Indika to invest USD40M for a 40% project interest and Petrosea to spend up to USD40M on Engineering (FEED) and Construction (EPC).

We have the people, money, vision and commitment to bring Indonesia's next new gold mine to development and production. The foundations of our success are with our strategic partner and shareholders. The relationship with our partner Indika has moved to another level, evolving into a JV partnership. As we move forward, Nusantara, Indika, and contractor Petrosea will look to leverage the best of their skills and experience to deliver an outstanding project.

With a dedicated Project team, we are creating momentum and we are clearly building the bridge to development and prosperity for our communities and stakeholders. Finally, I would like to thank the board, executive and our team for their continued dedication, commitment and hard work.

Stay safe.

Pemangku Kepentingan yang terhormat,

Pertama, saya berharap Anda dan keluarga berada dalam kondisi sehat mengingat Indonesia, Australia, dan dunia tengah menghadapi dampak pandemi COVID-19. Kita memahami, saat ini adalah masa yang penuh dengan ketidakpastian, kerentanan, dan tantangan. Rencana bisnis dan pribadi akan terus beradaptasi dan berkembang. Di Masminindo, Eksekutif kita adalah yang pertama dan terdepan, berfokus pada kesejahteraan karyawan dan masyarakat, dalam merumuskan dan menerapkan kebijakan terkait Covid-19.

Sebagai Dewan Komisaris, kami mengemban tugas untuk melihat ke depan dan laporan tahunan merupakan kesempatan untuk merefleksikan pencapaian Perusahaan. Saya sangat bangga dengan pencapaian Perusahaan pada 2019. Kami terus mengembangkan Proyek Awak Mas. Sorotan utama 2019 adalah menutup tahun dengan mendapatkan jalur pendanaan yang jelas dan mengawali program kerja 2020.

Pada tingkat proyek, Perusahaan mendapatkan pendanaan dari mitra Indonesia, Indika, yang akan menginvestasikan USD40 juta untuk 40% kepemilikan proyek dan Petrosea yang akan membelanjakan hingga USD40 juta untuk Teknik (FEED) dan Konstruksi (EPC).

Kita memiliki sumber daya manusia, dana, visi dan komitmen untuk membawa tambang emas baru di Indonesia menuju tahap pengembangan dan produksi. Dasar kesuksesan kita adalah dengan mitra strategis dan pemegang saham kita. Kemitraan dengan Indika berkembang menjadi kemitraan *joint venture*. Selagi kita melangkah maju, Nusantara, Indika, dan kontraktor Petrosea akan menggunakan keterampilan dan pengalaman terbaik mereka untuk menghasilkan proyek yang luar biasa.

Dengan tim yang berdedikasi, kita menciptakan momentum dan mendirikan jembatan menuju pembangunan dan kemakmuran bagi komunitas dan pemangku kepentingan. Akhir kata, saya ingin berterima kasih kepada Dewan Direksi, para eksekutif, dan seluruh tim atas dedikasi, komitmen, dan kerja keras mereka yang terus-menerus.

Tetaplah berada dalam kondisi aman.

Rob Alan Hogarth

President Commissioner | Komisaris Utama

Vision, Mission & Values

Visi, Misi & Nilai-Nilai

To generate returns to its shareholders by demonstrating commitment to our values in delivering:

- Successful development and operation of the Awak Mas Gold Project;
- Organic growth through exploration, to realize the true value of the Awak Mas Gold Project; and
- Greenfield growth capitalizing on other Asia-Pacific opportunities.

VISION VISI

Menghasilkan keuntungan bagi para pemegang saham dengan menunjukkan komitmen terhadap nilai-nilai kami dalam memberikan:

- Keberhasilan pengembangan dan pengoperasian Proyek Awak Mas;
- Pertumbuhan organik melalui eksplorasi untuk mewujudkan nilai Proyek Emas Awak Mas sebenarnya; dan
- Pertumbuhan Greenfield dengan memanfaatkan peluang-peluang lain di kawasan Asia-Pasifik.

- Build and Operate Awak Mas;
- Improve and Grow Awak Mas; and
- Build and Operate the next Mine.

Masmindo is "Stepping Up"

We Build, Improve and Grow our People and our Project. We have BIG ambitions!

MISSION MISI

- Membangun dan Mengoperasikan Awak Mas;
- Meningkatkan dan membesarkan Awak Mas; dan
- Membangun dan Mengoperasikan Tambang berikutnya.

Masmindo "Beranjak Naik"

Kami Membangun, Meningkatkan, dan Membesarkan Karyawan dan Proyek kami. Kami memiliki ambisi BESAR!

VALUES NILAI-NILAI

Our **SUSTAINABLE** values and what we will be recognized for:

Nilai-nilai BERKELANJUTAN kami dan sebab kami akan diakui:

EXCELLENCE

CARING

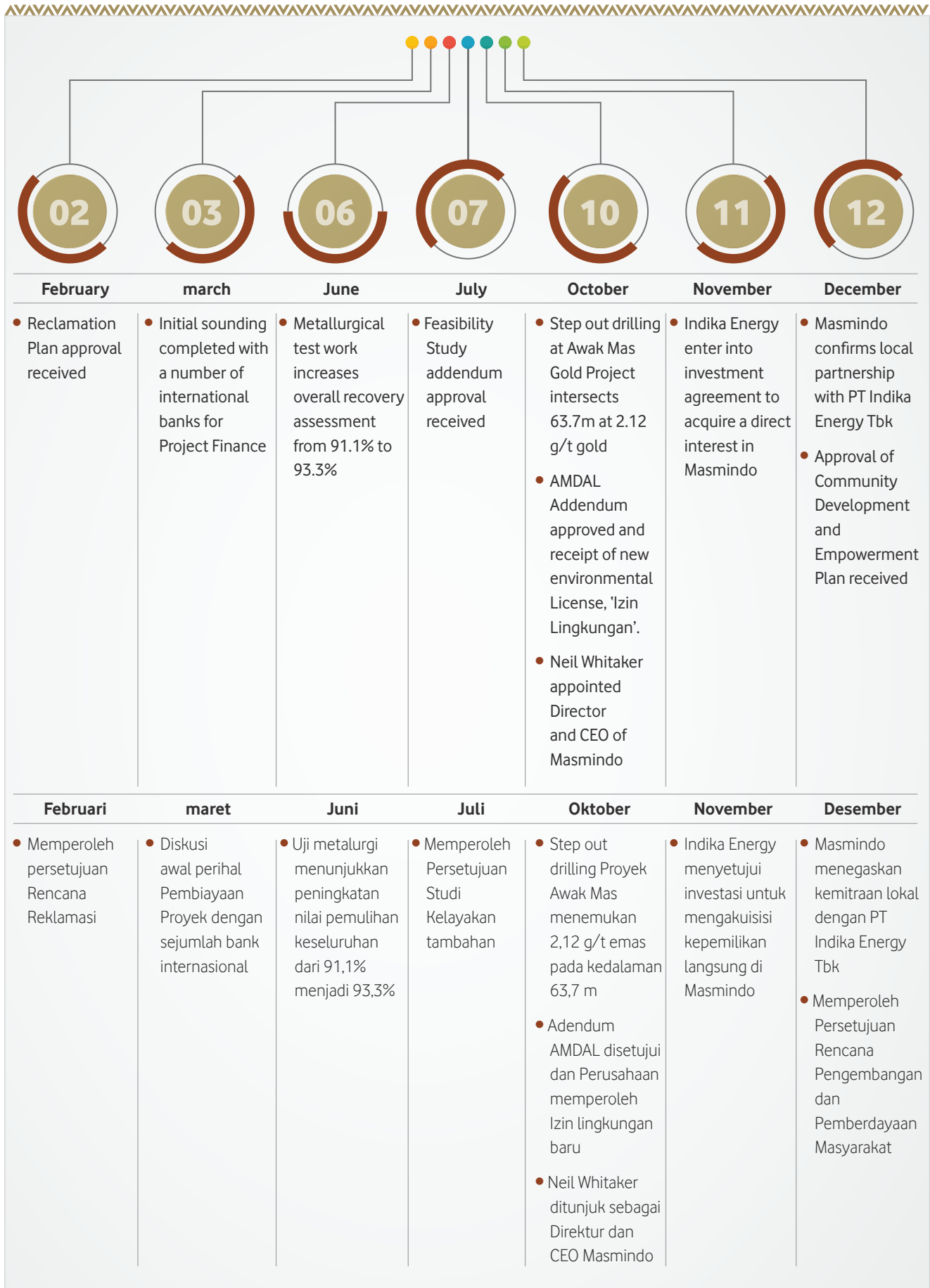
INTEGRITY

ACCOUNTABILITY

TEAMWORK

2019 Highlights

Peristiwa Penting 2019



Company Overview

Gambaran Umum Perusahaan

The Company was established under the laws of the Republic of Indonesia by Deed of Establishment of the Company No. 10 dated 10 February 1998 as a limited liability company, with foreign investment status (*perusahaan terbatas penanaman modal asing* or PT PMA) engaged in the mining business.

The Company is focused on growing shareholder value by developing and operating the Awak Mas Gold Project.

Perusahaan didirikan berdasarkan undang-undang Republik Indonesia dengan Akta Pendirian Perusahaan No. 10 tanggal 10 Februari 1998 sebagai perseroan terbatas, dengan status penanaman modal asing (*Perseroan Terbatas Penanaman Modal Asing* atau PT PMA) yang bergerak di bidang pertambangan.

Perusahaan berfokus pada peningkatan nilai pemegang saham dengan mengembangkan dan mengoperasikan Proyek Awak Mas.

Corporate Structure

Struktur Perusahaan



Project Tenure

The Company's sole asset is the Awak Mas Gold Project ("**Awak Mas**") held by the Company under a 7th Generation Contract of Work ("CoW") signed by the Government of the Republic of Indonesia ("Gol") in Presidential Decree No. B.53 / Pres / 1/1998 and approval from the Ministry of Energy and Mineral Resources of the Republic of Indonesia No. 171.K / 30 / DJB / 2018. The CoW covers an area of 14,390 hectares, located in the Luwu Regency, Province of South Sulawesi.

The Company is engaged in mining activities in the CoW area as approved by the Gol, in accordance with the Company's Articles of Association. The CoW entered the Construction period in 20 June 2017 and in January 2018, the CoW was granted the Operations and Production period, effective 20 June 2017 for a period of 33 (thirty-three) years. This includes a period of 3 (three) years for project construction.

Jangka Waktu Proyek

Aset tunggal Perusahaan adalah Proyek Awak Mas ("**Awak Mas**") yang dipegang oleh Perusahaan berdasarkan Kontrak Karya Generasi ke-7 ("Kontrak Karya") yang ditandatangani oleh Pemerintah Republik Indonesia ("Pemerintah RI") dalam Keputusan Presiden No. B.53/Pres/1/1998 Tahun 1998" dan persetujuan Kementerian Energi dan Sumber Daya Mineral Republik Indonesia No. 171.K/30/DJB/2018 Tahun 2018. Kontrak Karya tersebut mencakup area seluas 14.390 hektar yang terletak di Kabupaten Luwu, Provinsi Sulawesi Selatan.

Perusahaan terlibat dalam kegiatan penambangan di wilayah Kontrak Karya sebagaimana disetujui oleh Pemerintah RI, Sesuai dengan Anggaran Dasar Perusahaan. Kontrak Karya memasuki masa Konstruksi pada 20 Juni 2017 dan Januari 2018, Kontrak Karya diberikan masa Operasional dan Produksi, berlaku mulai 20 Juni 2017 untuk jangka waktu 33 (tiga puluh tiga) tahun. Termasuk di dalamnya masa untuk pembangunan proyek selama periode 3 (tiga) tahun.

CoW Amendment

On 14 March 2018, the Company signed an Amendment to the CoW with the GoI to more closely align the CoW to prevailing mining laws and regulations.

The amended CoW reaffirms the Company as the legal holder of the CoW with the sole rights to explore and exploit any mineral deposits within the CoW area until 2050. After this period, operations may be extended in accordance with prevailing laws and regulations.

Notable amendments to the Company's CoW:

- Adoption of prevailing rates for taxes and royalties;
- Requirement to undertake divestment at fair market value according to internationally accepted standards to willing Indonesian participants of at least 51% in the equity of the Company in the 10th year of commercial production; and
- Continuation of the amended CoW past June 2050 in accordance with prevailing regulations.

The amended CoW reaffirms the long-term tenure and investment stability for the development of Awak Mas Gold Project.

In November 2019, PT Indika Energy group agreed to acquire up to a 40% interest in Masmindo for USD40M.

Amandemen Kontrak Karya

Pada tanggal 14 Maret 2018, Perusahaan menandatangani Amandemen Kontrak Karya dengan Pemerintah RI untuk lebih menyelaraskan Kontrak Karya dengan peraturan perundang-undangan di bidang pertambangan yang berlaku.

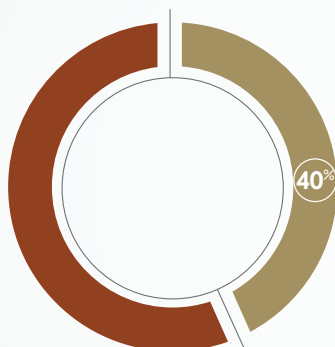
Amandemen Kontrak Karya menegaskan kembali bahwa Perusahaan merupakan pemegang sah Kontrak Karya dengan hak tunggal untuk mengeksplorasi dan mengeksploitasi setiap deposit mineral di dalam wilayah Kontrak Karya hingga tahun 2050. Setelah periode ini, operasi dapat diperpanjang sesuai dengan peraturan perundang-undangan yang berlaku.

Amandemen di dalam Kontrak Karya Perusahaan yang perlu diperhatikan:

- Penerapan tarif yang berlaku untuk pajak dan royalti;
- Persyaratan untuk melakukan divestasi sebesar nilai pasar wajar sesuai dengan standar internasional untuk peserta Indonesia minimal 51% dalam ekuitas Perusahaan pada tahun ke-10 produksi komersial; dan
- Kelanjutan dari Kontrak Karya yang diubah setelah Juni 2050 sesuai dengan peraturan yang berlaku.

Kontrak Karya yang diubah menegaskan kembali tenor jangka panjang dan stabilitas investasi untuk pengembangan Proyek Awak Mas.

Pada November 2019, PT Indika Energy group setuju untuk mengakuisisi hingga 40% kepemilikan di Masmindo senilai USD40 juta.



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Company Overview | continued

Gambaran Umum Perusahaan

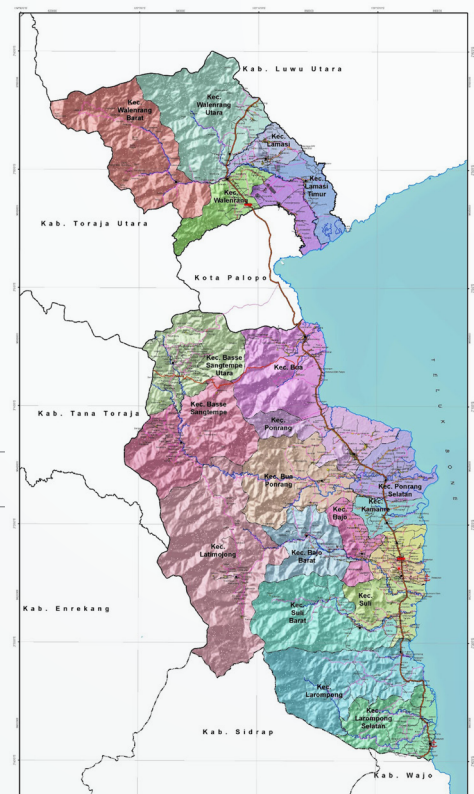


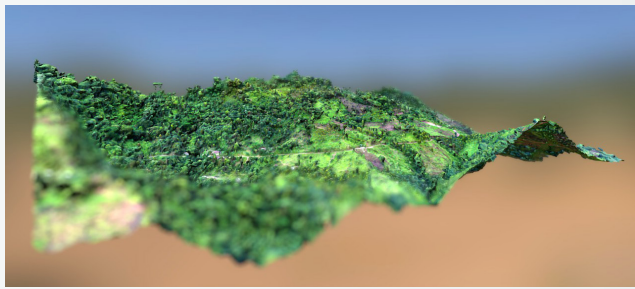
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the CoW was granted the Operations and Production period, effective 20 June 2017 for a period of 33 (thirty-three) years. This includes a period of 3 (three) years for project construction.

Kontrak Karya tersebut mencakup area seluas 14.390 hektar yang terletak di Kabupaten Luwu, Provinsi Sulawesi Selatan.

Kontrak Karya diberikan masa Operasional dan Produksi, berlaku mulai 20 Juni 2017 untuk jangka waktu 33 (tiga puluh tiga) tahun. Termasuk di dalamnya masa untuk pembangunan proyek selama periode 3 (tiga) tahun.





Company Activities 2019

Aktivitas Perusahaan 2019

During 2019, management focused on continued development of the Awak Mas Gold Project, regulatory compliance and reporting obligations.

Review of Project Activities – 2019

Project Update

The Company's feasibility study ("FS") submitted to the Gol was approved in June 2017. During 2018 and 2019 the Company undertook various studies to further advance and optimize the Project. Enhanced studies were undertaken on Mine Planning, Processing Optimization, Mining Infrastructure, Environment & Mine Safety, Community Development & Empowerment and Organization & Manpower.

Based on the additional project work completed, the Company completed an Addendum to the FS, which included processing modifications, changes to site layout and mine infrastructure, updated opex and capex cost estimates and updated environmental and social impact studies. The FS Addendum was approved in July 2019.

Sepanjang 2019, manajemen berfokus pada pengembangan berkelanjutan Proyek Awak Mas, kepatuhan terhadap peraturan dan kewajiban pelaporan.

Tinjauan Aktivitas Proyek – 2019

Perkembangan Proyek

Studi kelayakan Perusahaan ("Stukel") yang diajukan kepada Pemerintah RI telah disetujui pada Juni 2017. Selama 2018 dan 2019, Perusahaan melakukan berbagai penelitian untuk lebih mengoptimalkan Proyek. Studi tingkat lanjut dilakukan pada Perencanaan Tambang, Optimalisasi Pengolahan, Infrastruktur Tambang, Lingkungan & Keselamatan Tambang, Pengembangan & Pemberdayaan Masyarakat dan Organisasi & Tenaga Kerja.

Berdasarkan pekerjaan tambahan proyek yang telah diselesaikan, Perusahaan menyelesaikan Addendum Stukel yang mencakup modifikasi pengolahan, perubahan tata letak situs dan infrastruktur tambang, pembaruan estimasi biaya operasional dan belanja modal, serta pembaruan studi dampak lingkungan dan sosial. Adendum Stukel disetujui pada Juli 2019.



Kande Api Drill Pad Preparation

Having secured PLN power at site during 2018 to support the project camp and construction activities, the Company is preparing to enter into negotiations to finalize a Power Supply Agreement (PSA) in 2020 to secure power requirements for operations.

In the last quarter of the year, the Engineering and Construction (E&C) division of Petrosea Tbk (Petrosea) provided a proposal to complete an expanded scope of work in Front-End Engineering Design (FEED) for the Project.

This was supported in principle following an initial review by the Company and year end engagement with Petrosea with commitment to negotiate settlement of a FEED contract in early 2020. Planning and actions to expedite delivery of a FEED contract centered around:

- commercial terms and pricing;
- Petrosea capability;
- a project execution plan (PEP) preparations;
- expandability; and
- our capability to perform as the 'Project Owner'.

The Company, in parallel with planning settlement of a FEED contract in 2020, geared up for project readiness with the establishment of project controls and recruitment of key roles. At year-end the Project team formation included the appointment of Matthew Timbrell as Project Director. Matt is a proven leader, study and project development manager with over 25-years' experience in mining and processing in Australia and Indonesia. Matt has managed multiple major projects in gold and other commodities with most recent being the Toka Tindung Gold Project Expansion in North Sulawesi, Indonesia.

To support the development plans for the Project, Jakarta-based human resource consultant SKI-HR were engaged to support organizational design and further develop the HR Management system and for the wider business in 2020.

The Company is progressing its capability to deliver the development of the Awak Mas Gold Project and is confident it can deliver on future project milestones.

Setelah mengamankan pasokan listrik dari PLN untuk mendukung kegiatan proyek dan pembangunan di lokasi sepanjang 2018, Perusahaan tengah bersiap melakukan negosiasi guna menyelesaikan Perjanjian Penyediaan Daya (PSA) tahun 2020 demi memenuhi kebutuhan daya untuk kegiatan operasional.

Pada kuartal terakhir tahun ini, divisi Teknik dan Konstruksi (E&C) Petrosea Tbk (Petrosea) mengajukan proposal untuk menyelesaikan perluasan lingkup kerja Front-End Engineering Design (FEED) Proyek Awak Mas.

Pada prinsipnya, proposal ini mendapat persetujuan setelah dilakukan tinjauan awal oleh Perusahaan dan diresmikannya perjanjian dengan Petrosea pada akhir tahun lalu, dengan komitmen untuk menegosiasikan penyelesaian kontrak FEED pada awal 2020. Perencanaan dan tindakan untuk mempercepat penyerahan kontrak FEED berfokus pada:

- ketentuan komersial dan harga;
- kemampuan Petrosea;
- penyusunan rencana pelaksanaan proyek (PEP);
- kemampuan perluasan; dan
- kemampuan Perusahaan untuk bertindak sebagai 'Pemilik Proyek'.

Perusahaan, bersamaan dengan rencana penyelesaian kontrak FEED pada 2020, bersiap melakukan eksekusi proyek dengan menentukan metode kontrol proyek dan rekrutmen untuk posisi-posisi kunci. Pada akhir tahun, tim proyek dibentuk dengan menunjuk Matthew Timbrell sebagai Direktur Proyek. Matt memiliki kepemimpinan yang sudah terbukti, pernah belajar dan menjabat sebagai manajer pengembangan proyek dengan pengalaman lebih dari 25 tahun di bidang pertambangan dan pengolahan hasil tambang di Australia dan Indonesia. Matt telah mengelola beberapa proyek besar penambangan emas dan komoditas lainnya, di mana yang terbaru adalah Ekspansi Proyek Emas Toka Tindung di Sulawesi Utara, Indonesia.

Untuk mendukung rencana pengembangan Proyek, konsultan sumber daya manusia yang berbasis di Jakarta, SKI-HR, dilibatkan untuk memperkuat desain organisasi dan mengembangkan sistem Manajemen SDM dan bisnis yang lebih luas pada 2020.

Perusahaan tengah meningkatkan kapabilitasnya untuk mengembangkan Proyek Awak Mas dan yakin dapat mewujudkan proyek bersejarah di masa depan.

Company Activities 2019 | continued

Aktivitas Perusahaan 2019

Permitting

Recent project approvals

Perizinan

Persetujuan proyek yang telah diperoleh:

Approvals & Permits Persetujuan & Izin	Approval Date Tanggal Persetujuan
 Operations & Production Period Masa Operasi & Produksi	16 January 2018 ⁽¹⁾ 16 Januari 2018 ⁽¹⁾
 Reclamation Plan Approval (5 years) Persetujuan Rencana Reklamasi (5 tahun)	13 February 2019 13 Februari 2019
 Feasibility Study Addendum Adendum Studi Kelayakan	9 July 2019 9 Juli 2019
 AMDAL Addendum Adendum AMDAL	17 October 2019 17 Oktober 2019
 New Environmental Permit Izin Lingkungan Baru	17 October 2019 17 Oktober 2019
 CDE Master Plan Rencana Induk CDE	23 December 2019 23 Desember 2019

effective 20 June 2017/ efektif 20 Juni 2017

All major permitting is in place with the exception of the TSF. The Company plans to start the process to obtain the permit to construct the TSF in 2020.

Other minor permits for operations such as water usage, hazardous storage, explosives etc. will be obtained during development as timelines require.

Exploration Activities

During Quarter 1 2019, the Company continued a focused exploration program at several near-mine areas to enhance the developing geological model. This work included drilling test holes at Puncak Selatan, ongoing surface sampling at the Kandeapi and Puncak Utara prospects and preparation for the upcoming ground geophysics program at Salu Bulu. In addition, first test drilling of the proposed Quarry site at North Kandeapi was undertaken with two holes completed.

Semua perizinan utama telah diperoleh, kecuali Tailing Storage Facility (TSF). Perusahaan berencana memulai proses untuk memperoleh izin membangun TSF pada 2020.

Izin pendukung lainnya untuk operasional seperti penggunaan air, penyimpanan barang berbahaya, bahan peledak, dan lain-lain akan diperoleh selama pengembangan proyek sesuai kebutuhan.

Kegiatan Eksplorasi

Selama Triwulan pertama 2019, Perusahaan melanjutkan program eksplorasi terfokus di beberapa daerah di sekitar tambang untuk memutakhirkan model geologi yang tengah dikembangkan. Pekerjaan ini termasuk pengeboran lubang uji di Puncak Selatan, pengambilan sampel permukaan yang tengah dilakukan di area prospek Kandeapi dan Puncak Utara, dan persiapan program geofisika dasar berikutnya di Salu Bulu. Selain itu, uji pengeboran pertama dari situs penambangan di Kandeapi Utara telah dilakukan dengan menyelesaikan dua lubang.

"In addition, first test drilling of the proposed Quarry site at North Kandeapi was undertaken with two holes completed."

"Selain itu, uji pengeboran pertama dari situs penambangan di Kandeapi Utara telah dilakukan dengan menyelesaikan dua lubang."



"During Quarter 3 2019, an exploration step-out drill hole (HWD006) at Awak Mas successfully extended and enhanced the previous discovery of the Highwall mineralization."

"Selama Kuartal ketiga 2019, sebuah lubang bor step-out eksplorasi (HWD006) di Awak Mas berhasil diperpanjang dan menambah penemuan mineralisasi Highwall sebelumnya."



Quarter 2 saw further development of the geological model with the Salu Bulu area geophysics program generating exciting drill targets. Several previously recognized satellite prospects and possible orebody extensions were identified over a +3km strike.

During this second quarter, an exploration benching exercise was completed within the Awak Mas Gold Project Rante starter pit area to map and sample the exposed high-grade subvertical vein structures within the deposit. Trench sampling results were positive and a drill program followed in the September quarter. Results from this program provided a better understanding of the subvertical high-grade structures and definition between ore and waste boundaries, will be used by CUBE Consultants in the preparation of the 2020 mineral resource estimate.

A possible porphyry style hydrothermal copper-gold system discovery at the Salu Kombong prospect is consistent with the evolving geophysics concept of Awak Mas being part of a large scale Intrusive Related Gold System.

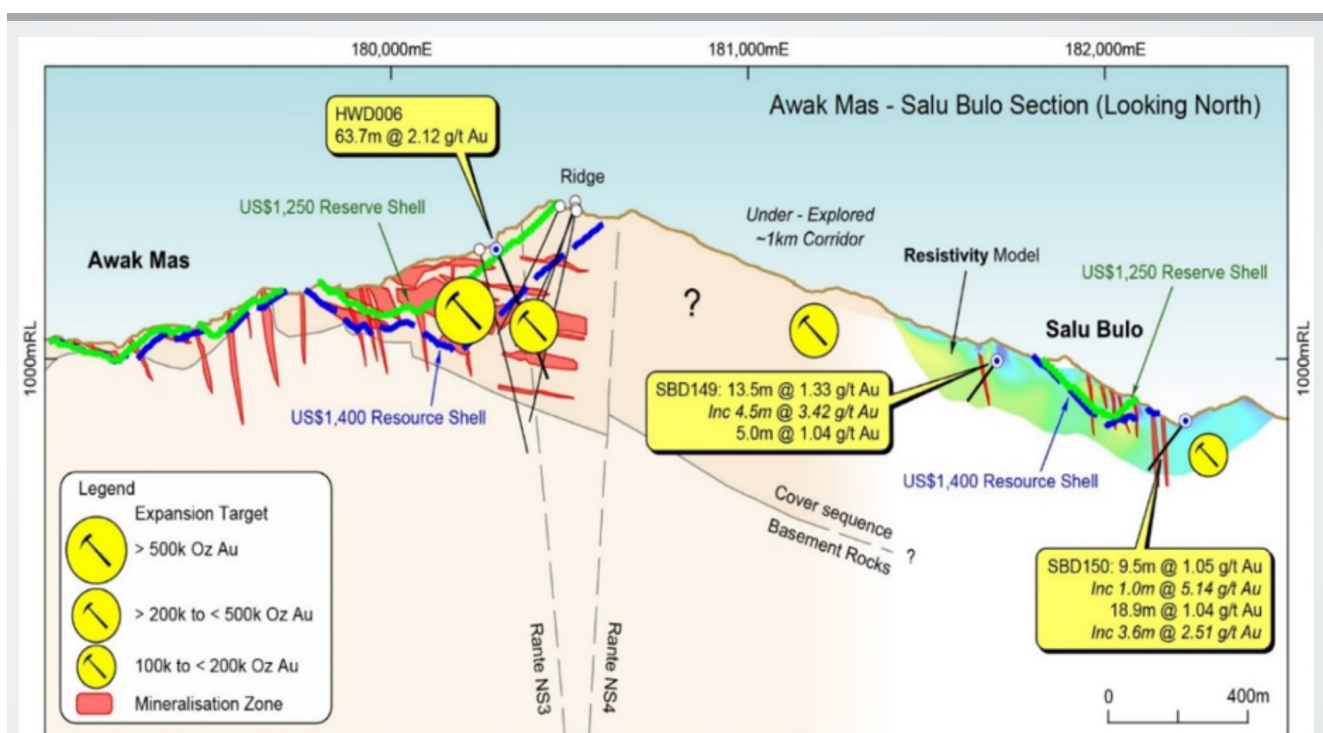
During Quarter 3 2019, an exploration step-out drill hole (HWD006) at Awak Mas successfully extended and enhanced the previous discovery of the Highwall mineralization – Figure below.

Kuartal kedua ditandai dengan pengembangan lebih lanjut dari model geologi dengan program geofisika area Salu Bulu yang menghasilkan target pengeboran yang menarik. Beberapa situs satelit yang sebelumnya telah ditandai dengan kemungkinan adanya ekstensi bijih berhasil diidentifikasi dalam jarak +3 km.

Selama kuartal kedua ini, benching eksplorasi telah diselesaikan di area starter pit Rante Proyek Awak Mas untuk pemetaan dan mengambil sampel struktur vena subvertikal grade tinggi terbuka di dalam deposit. Hasil trench sampling positif dan program pengeboran dilanjutkan pada kuartal September. Hasil dari program ini memberikan pemahaman yang lebih baik tentang struktur subvertikal grade tinggi dan definisi antara batas bijih dan limbah, yang akan digunakan oleh Konsultan CUBE dalam penyusunan estimasi sumber daya mineral 2020.

Kemungkinan adanya penemuan sistem tembaga-emas hidrothermal gaya porfiri di prospek Salu Kombong sesuai dengan konsep geofisika yang dikembangkan Awak Mas, yang menjadi bagian dari Sistem Emas Terkait Intrusif skala besar.

Selama Kuartal ketiga 2019, sebuah lubang bor step-out eksplorasi (HWD006) di Awak Mas berhasil diperpanjang dan menambah penemuan mineralisasi Highwall sebelumnya – lihat Gambar di bawah.



Further resource modelling will be undertaken in 2020 to quantify the extent of this important discovery.

Company Activities 2019 | continued

Aktivitas Perusahaan 2019



The significance of the main intersection, indicates that substantial new mineralization could be added to the proposed Awak Mas deposit open pit by this expansion drilling:
HWD006: 63.7m @ 2.12g/t gold from 201.1 metres down hole

To improve ore-body knowledge at a mining scale, a close-spaced exploration drill program was conducted at the Awak Mas deposit, Rante Starter Pit area, designed to follow-up the previous successful benching program. Modelling and interpretation of the close-spaced drilling was undertaken as a 'proof of concept' exercise to validate potential grade uplift anticipated to be realised when the ore body is mined.

Persimpangan utama menunjukkan bahwa mineralisasi baru berukuran besar dapat ditambahkan ke pit terbuka deposit Awak Mas yang diusulkan oleh ekspansi pengeboran ini:
HWD006: 63,7m @ 2.12 g/t emas dari lubang 201.1 meter

Untuk meningkatkan pengkajian bijih pada skala penambangan, program eksplorasi jarak-dekat dilakukan di deposit Awak Mas & area Pit Starter Rante, yang dirancang untuk menindaklanjuti program benching yang sukses sebelumnya. Pemodelan dan interpretasi pengeboran jarak-dekat dilakukan sebagai 'pembuktian konsep' untuk memvalidasi potensi peningkatan grade sebagai antisipasi saat bijih ditambang.

Environment

Based on the FS Addendum, the Company filed an AMDAL Addendum which received approval in October 2019. Based on the approved AMDAL Addendum the Company received a new Environmental Permit 'Izin Lingkungan' in October 2019.

The Company's environmental plan complies with prevailing laws and regulations on environmental protection.

The Company actively seeks to protect the environment in which it operates, with environmental monitoring activities and programs including rainfall data collection, ground and surface water monitoring, revegetation programs and waste removal.

During the year, the Company maintained regular monitoring programs and continued to evaluate areas for improvement. Several environmental baseline studies have been completed

Lingkungan Hidup

Berdasarkan Adendum Studi Kelayakan, Perusahaan mengajukan Adendum AMDAL yang memperoleh persetujuan pada Oktober 2019. Berdasarkan Adendum AMDAL yang disetujui, Perusahaan menerima Izin Lingkungan baru pada Oktober 2019.

Rencana lingkungan Perusahaan sudah sesuai dengan peraturan perundang-undangan tentang perlindungan lingkungan yang berlaku.

Perusahaan secara aktif berupaya melindungi lingkungan operasinya dengan kegiatan dan program pemantauan lingkungan, termasuk pengumpulan data curah hujan, pemantauan air tanah dan air permukaan, program revegetasi dan pembuangan limbah.

Sepanjang tahun ini, Perusahaan mempertahankan program pemantauan rutin dan terus mengevaluasi bidang-bidang yang memerlukan perbaikan. Beberapa studi baseline lingkungan telah



Metallurgy Test Water Sampling

Company Activities 2019 | continued

Aktivitas Perusahaan 2019

in the past and the Company continually updates its environmental database for the CoW and surrounding area. Environmental monitoring is conducted for Surface Water quality, Hydrology, Meteorology, Ambient Air Quality and Noise, Terrestrial Flora and Fauna, and Aquatic Ecology.

Surface Water Quality samples are undertaken at 13 monitoring points for dissolved metals, anions, nutrients, organics, microbiological and physicals. Hydrology monitoring is undertaken at 12 monitoring points to assess stream velocity and stream cross sections. Meteorology monitoring is conducted through an automated weather station for temperature; wind speed and direction; and relative humidity, while rainfall is conducted by a manual rain gauge and evaporation rates assessed and recorded. Ambient Air Quality and Noise are assessed at 4 monitoring points, Flora and Fauna assessment is conducted every 6 months from 3 locations. Aquatic Ecology monitoring is undertaken every 6 months from 3 locations.

The Company continues its agricultural replantation program to replace crops disturbed during site activities as well as a hazardous waste removal system.

diselesaikan sebelumnya dan Perusahaan terus memperbarui database lingkungannya untuk area Kontrak Karya dan daerah sekitarnya. Pemantauan lingkungan dilakukan untuk kualitas Air Permukaan, Hidrologi, Meteorologi, Kualitas Udara Ambien dan Kebisingan, Flora dan Fauna Terrestrial, dan Ekologi Akuatik.

Pengambilan Sampel Kualitas Air Permukaan dilakukan di 13 titik pemantauan untuk logam terlarut, anion, nutrisi, organik, mikrobiologis dan fisik. Pemantauan hidrologi dilakukan di 12 titik pemantauan untuk menilai kecepatan aliran dan penampang aliran. Pemantauan meteorologi dilakukan melalui stasiun cuaca otomatis untuk suhu; kecepatan dan arah angin; dan kelembaban relatif, sementara untuk curah hujan dilakukan dengan alat pengukur hujan manual dan tingkat penguapan dinilai dan dicatat. Kualitas Udara Ambien dan Kebisingan dinilai di 4 titik pemantauan, penilaian Flora dan Fauna dilakukan setiap 6 bulan dari 3 lokasi. Pemantauan Ekologi Perairan dilakukan setiap 6 bulan dari 3 lokasi

Perusahaan terus melakukan program penanaman kembali di bidang pertanian untuk menggantikan tanaman yang terganggu selama kegiatan di lokasi, serta membangun sistem pembuangan limbah berbahaya.



"...Flora and Fauna assessment is conducted every 6 months from 3 locations. Aquatic Ecology monitoring is undertaken every 6 months from 3 locations."

"...penilaian Flora dan Fauna dilakukan setiap 6 bulan dari 3 lokasi. Pemantauan Ekologi Perairan dilakukan setiap 6 bulan dari 3 lokasi."

Community

During 2019, the Company received approval for its Community Development and Empowerment Plan. The Company committed to working with local communities to achieve mutual benefits and positive outcomes from our operations. The Company has developed four main areas for community engagement and support: education, health, infrastructure, and economic empowerment

Masyarakat

Sepanjang 2019, Perusahaan memperoleh persetujuan untuk Program Pengembangan dan Pemberdayaan Masyarakat. Perusahaan berkomitmen untuk bekerja dengan masyarakat setempat untuk memperoleh manfaat yang saling menguntungkan dan hasil positif dari operasi Perusahaan. Perusahaan mengembangkan empat bidang utama untuk melibatkan dan membantu masyarakat, yaitu pendidikan, kesehatan, infrastruktur, dan pemberdayaan ekonomi.



Masmindo supports elementary school in Boneposi village, Luwu, South Sulawesi

Education

During the year, the Company continued various support initiatives and assistance to schools in the neighboring community by supporting teachers and students with assistance, school supplies and donations.

The Company continues to contribute support to the elementary school in Boneposi village; the construction of which, was supported by the Company. The Boneposi school was officially inaugurated as a Provincial School in 2018.

Pendidikan

Sepanjang tahun ini, Perusahaan melanjutkan berbagai inisiatif, dukungan, dan bantuan ke sekolah-sekolah di komunitas sekitar dengan memberikan guru dan siswa berbagai bantuan, perlengkapan sekolah, dan donasi.

Perusahaan terus berkontribusi memberikan dukungan kepada sekolah dasar di desa Boneposi; yang pembangunannya didukung oleh Perusahaan. Sekolah Boneposi secara resmi diresmikan sebagai Sekolah Provinsi pada 2018.

Company Activities 2019 | continued

Aktivitas Perusahaan 2019



Evacuation Simulation

Health

Recently due to COVID-19, the Company has donated masks and biohazard suits and helped to support efforts to educate the locals about COVID-19 and efforts to prevent its spread.

During the year, the Company supported various health initiatives by donating supplies to local medical clinic in Ranteballa. The Company has supported programs to educate parents and the vaccination of children in the surrounding communities.

In addition, the Company supports healthy diet initiatives by donating healthy food supplements to pregnant mothers and babies and has been active in the development of sanitation and ablution facilities in the surrounding communities.

Kesehatan

Baru-baru ini, karena merebaknya COVID-19, Perusahaan telah menyumbangkan masker dan pakaian biohazard dan membantu mengedukasi warga setempat mengenai COVID-19, serta berupaya mencegah penyebarannya.

Sepanjang tahun ini, Perusahaan mendukung berbagai inisiatif kesehatan dengan menyumbangkan persediaan ke klinik kesehatan lokal di Ranteballa. Perusahaan juga mendukung program edukasi untuk orang tua dan vaksinasi anak-anak di masyarakat lingkaran tambang.

Selain itu, Perusahaan mendukung inisiatif diet sehat dengan menyumbangkan suplemen makanan sehat untuk ibu hamil dan bayi, serta aktif membangun fasilitas sanitasi dan wudhu untuk masyarakat sekitar.



Landslide road maintenance

Infrastructure

The Company provides road maintenance and repairs for the local communities to provide safe travel to and from the villages in the Project area.

Economic Empowerment

The Company supports purchase of local supplies, job recruitment priority in the surrounding villages and contractors where possible, and to produce important employment opportunities which support the ongoing and collective growth of Indonesia.

Infrastruktur

Perusahaan memberikan pemeliharaan dan perbaikan jalan bagi masyarakat setempat agar tersedia prasarana perjalanan yang aman ke dan dari desa-desa di wilayah Proyek.

Pemberdayaan Ekonomi

Perusahaan mendukung pembelian persediaan dari pedagang lokal, memprioritaskan rekrutmen pekerja dari desa-desa sekitar dan kontraktor jika memungkinkan, dan membuka peluang kerja yang mendukung pertumbuhan kolektif Indonesia yang berkelanjutan.

Company Activities 2019 | continued

Aktivitas Perusahaan 2019

Safety, Quality and Security

Safety remains our top priority and we attach great importance to the health of our employees. Employees must pass a full medical check-up before they are recruited and throughout their work their health and fitness are monitored. The Company employs 3 paramedics and a GP for the Project site in SE Sulawesi.

Masmindo has continually been developing its the HSE Management System and standard operating procedures for health and safety that encourages workers to be vigilant at work, risk aware and highlights the notion that anyone has the right to stop any unsafe act, at any time.

Due to the recent COVID-19 pandemic our Incident and Business Continuity Management Plan triggered the activation of our Crisis Management Team (CMT) and the formation of policy. Through evaluation, scenario planning and proactive leadership, we are managing stakeholder expectations in providing for the safety and wellbeing of all our people, assisting local communities and maintaining business continuity with proactive actions to Minimize Operational Risk Exposure (MORE).

Keamanan, Kualitas, dan Keamanan

Keselamatan tetap menjadi prioritas utama dan kami sangat mementingkan kesehatan karyawan. Karyawan harus lulus pemeriksaan kesehatan lengkap sebelum mereka direkrut, dan selama bekerja, kesehatan dan kebugaran mereka dimonitor. Perusahaan memiliki 3 orang tenaga paramedis dan dokter umum untuk lokasi proyek di Sulawesi Tenggara.

Masmindo terus mengembangkan Sistem Manajemen K3L dan prosedur operasi standar untuk kesehatan dan keselamatan yang mendorong pekerja untuk waspada di tempat kerja, sadar risiko dan menyoroti gagasan bahwa setiap orang memiliki hak untuk menghentikan tindakan yang tidak aman, kapan saja.

Karena pandemi COVID-19 baru-baru ini, berdasarkan Rencana Manajemen Terkait Insiden dan Kelangsungan Bisnis, kami membentuk Tim Manajemen Krisis (CMT) dan menetapkan sejumlah kebijakan. Melalui evaluasi, perencanaan skenario, dan kepemimpinan proaktif, kami mengelola ekspektasi pemangku kepentingan dalam menyediakan keselamatan dan kesejahteraan bagi seluruh karyawan, membantu masyarakat setempat, dan menjaga kelangsungan bisnis dengan tindakan proaktif untuk Meminimalkan Paparan Risiko Operasional - Minimize Operational Risk Exposure (MORE).



Morning safety meeting



Our Head of MSE (Mine Safety and Environment) obtained a First Class KTT (Chief Mine Technical) certification under Indonesian mines regulations through panel examinations at the Ministry of Energy and Mineral Resources. Masmindo is committed to meet the requirements of International Good Mining Practice during all phases of project development including mine safety, environment management, mineral conservation, planning construction, mine and mineral processing, design and operations as well as post-mine management.

Masmindo holds routine industry standard toolbox and safety meetings with our people to reinforce our safety framework. We are constantly lifting our standards and we have introduced a new light vehicle standard and continue to improve our inductions.

All site activities are assessed for risk and controls with increased supervision as required. Masmindo maintains an onsite medical clinic and all-wheel drive ambulance to undertake medical support services at site. Local paramedics have been recruited to ensure that all site activities have medical support available.

We are proud that during the year, there were no serious safety or health incidents. The year was 'Recordable Injury-free' (defined as Medical Treatment or Lost Injuries). This success was driven by our strong safety culture and the regime applied to all working procedures, personnel and temporary visitors to site.

As part of our safety framework, we strive to ensure that our workplace remains safe by implementing appropriate security measures. Qualified security personnel have been recruited and security posts have been constructed to monitor and check all incoming personnel and visitors to site. All people coming to and from site are formally reported and documented.

We will continue to strive to meet our very high operating standard to achieve a safe and healthy working environment at site.

Kepala MSE (Keselamatan Tambang dan Lingkungan) kami sudah memperoleh sertifikasi KTT (Kepala Teknik Tambang) Kelas Satu berdasarkan peraturan pertambangan Indonesia melalui pemeriksaan panel di Kementerian Energi dan Sumber Daya Mineral. Masmindo berkomitmen untuk memenuhi persyaratan Praktik Penambangan Internasional yang Baik selama semua fase pengembangan proyek, termasuk keselamatan tambang, manajemen lingkungan, konservasi mineral, perencanaan konstruksi, pemrosesan tambang dan mineral, desain dan operasi, serta manajemen pasca-tambang.

Masmindo mengadakan rapat standard toolbox dan rapat keselamatan secara rutin dengan karyawan untuk memperkuat kerangka kerja keselamatan yang kami miliki. Kami terus-menerus meningkatkan standar kami dan kami telah memperkenalkan standar baru bagi kendaraan ringan, serta terus memperbaiki proses induksi kami.

Semua aktivitas di situs penambangan dievaluasi risiko dan kontrolnya guna memperbaiki pengawasan sesuai kebutuhan. Masmindo memiliki klinik medis di lokasi penambangan dan ambulans *all-wheel drive* untuk melakukan layanan medis di lokasi. Paramedis lokal telah direkrut untuk memastikan bahwa semua kegiatan di situs penambangan memiliki dukungan medis.

Kami bangga bahwa sepanjang tahun ini, tidak ada insiden keselamatan atau insiden kesehatan yang serius. Tahun ini adalah tahun 'Bebas Cidera Serius' (didefinisikan sebagai Perawatan Medis atau Cidera Kehilangan). Keberhasilan ini didorong oleh budaya keselamatan kami yang kuat dan tata tertib yang diterapkan pada semua prosedur kerja, personel, dan tamu yang datang ke lokasi.

Sebagai bagian dari kerangka kerja keselamatan kami, kami berusaha untuk memastikan bahwa tempat kerja kami tetap aman dengan menerapkan langkah-langkah keamanan yang tepat. Personel keamanan yang memenuhi syarat direkrut dan pos keamanan dibangun untuk memantau dan memeriksa semua personel dan tamu yang masuk ke lokasi. Semua orang yang keluar masuk lokasi secara resmi dilaporkan dan didokumentasikan.

Kami akan terus berupaya memenuhi standar operasi kami yang sangat tinggi untuk mendapatkan lingkungan kerja yang aman dan sehat di lokasi.

Company Activities 2019 | continued

Aktivitas Perusahaan 2019

People

The Company fully understands that our employees are our greatest asset and having talented employees in the right roles is critical to the success of Masmino's operations. The Company further recognizes the importance of employing skilled people throughout Indonesia and from the local communities in which we operate. Masmino employs those with the experience, competencies, character and attributes needed to meet the requirements of the positions in which they are to hold, and the Company's business goals.

Recruitment of key roles for the project development phase and critical support functions is in advanced stages as at Q4 2019 with personnel commencing early Q1 2020.

The low turnover rate of employees in Masmino is one of the outcomes of the Company's strategy to attract – motivate – retain and develop the skills of our employees. Further, Masmino are committed to maintaining effective and congruent relations amongst all employees, with open two-way communication proving to be effective in engaging and motivating employees in addition to maintaining harmonious relations, resulting in zero significant industrial relations issues throughout 2019.

In 2019, Masmino continued the process of developing the Human Resources Management System covering standard operating procedures and policies.

HR Gap Analysis was conducted in 2019 that prioritized the improvement of existing HR programs covering Planning, Acquiring, Developing, Maintaining and Retaining. Emphasis is on developing strategies to Attract – Motivate – Retain skilled employees.

Masmino prides itself on compliance with the national, regional and local Manpower regulations, covering compensation and benefits, social security, working and rest time, health and safety, training and others.

Masmino continues to enhance the employee performance management systems, training and needs analysis, reward and recognition programs, and to the opportunity to build on the foundation established in 2019.

Sumber Daya Manusia

Perusahaan sepenuhnya memahami bahwa karyawan adalah aset terbesar dan memiliki karyawan yang berbakat dalam peran yang tepat sangat penting bagi keberhasilan operasi Masmino. Perusahaan juga memahami pentingnya mempekerjakan orang-orang terampil dari seluruh Indonesia dan juga dari masyarakat setempat di mana kami beroperasi. Masmino mempekerjakan mereka yang memiliki pengalaman, kompetensi, karakter, dan atribut yang diperlukan untuk menempati posisi yang dibutuhkan dan mencapai tujuan bisnis Perusahaan.

Perekrutan posisi-posisi kunci untuk fase pengembangan proyek dan fungsi penting lainnya dilakukan pada Q4 2019 dengan perekrutan personil dimulai pada awal Q1 2020.

Rendahnya tingkat turnover karyawan di Masmino adalah salah satu hasil dari strategi Perusahaan untuk menarik - memotivasi - mempertahankan dan mengembangkan keterampilan karyawannya. Lebih lanjut, Masmino berkomitmen untuk menjaga hubungan yang efektif dan kongruen di antara semua karyawan dengan komunikasi dua arah yang terbukti efektif dalam melibatkan dan memotivasi karyawan, selain juga mempertahankan hubungan yang harmonis, sehingga sama sekali tidak ada masalah hubungan industrial sepanjang 2019.

Pada 2019, Masmino melanjutkan proses pengembangan Sistem Manajemen Sumber Daya Manusia yang mencakup prosedur dan kebijakan operasi standar.

Analisis Kesenjangan SDM dilakukan pada 2019 yang memprioritaskan peningkatan program SDM yang ada, meliputi Perencanaan, Rekrutmen, Pengembangan, Pemeliharaan, dan Upaya Mempertahankan karyawan. Penekanan dilakukan pada pengembangan strategi untuk Menarik - Memotivasi - Mempertahankan karyawan yang terampil.

Masmino bangga akan kepatuhannya terhadap peraturan Ketenagakerjaan nasional, regional dan lokal, yang mencakup kompensasi dan tunjangan, jaminan sosial, waktu kerja dan istirahat, kesehatan dan keselamatan, serta pelatihan dan lainnya.

Masmino terus meningkatkan sistem manajemen kinerja karyawan, pelatihan dan analisis kebutuhan, program penghargaan dan pengakuan, dan kesempatan untuk membangun SDM di atas fondasi yang didirikan pada 2019.

Significant Events During 2019 Financial Year

Peristiwa Penting Selama Tahun Buku 2019

During 2019, the Company won the dispute with the Tax Department. The tax dispute involved unsubstantiated claims regarding our accounting treatment of VAT on purchases incurred in 2012. The Company was refunded the advance payment made to proceed to tax court.

In November 2019 Masmino through its sole shareholder Nusantara (through subsidiary Salu Siwa Pty Ltd) entered into a non-binding term sheet with strategic partner, Indika Energy, providing a clear pathway to financing the Awak Mas Gold Project.

- Indika Energy to invest up to USD40 million into PT Masmino DWI Area, in two stages and subject to conditions, to secure up to 40% interest in the Project Company:
 - an initial tranche of USD 15million for 25% ownership is to be paid into the Project Company; and
 - a further USD 25million can be invested to acquire an additional 15% ownership subject conditions including a Final Investment Decision.

Masmino shareholders with Indika Energy will collaborate on seeking third party and mezzanine finance, with a number of International banks to secure project financing for the Awak Mas Gold Project.

Selama 2019, Perusahaan memenangkan perselisihan dengan Departemen Pajak. Perselisihan pajak melibatkan klaim yang tidak berdasar tentang perlakuan akuntansi Perusahaan atas PPN untuk pembelian pada 2012. Perusahaan mendapatkan pengembalian uang muka yang dibayarkan untuk diproses ke pengadilan pajak.

Pada November 2019, Masmino melalui pemegang saham tunggalnya Nusantara (melalui anak perusahaan Salu Siwa Pty Ltd) menandatangani term sheet tidak mengikat dengan mitra strategis, Indika Energy, memberikan jalur yang jelas untuk membiayai Proyek Emas Awak Mas.

- Indika Energy akan menginvestasikan hingga USD40 juta ke PT Masmino DWI Area, dalam dua tahap dan tergantung pada kondisi, untuk mengamankan hingga 40% kepemilikan di Perusahaan Proyek:
 - tahap awal sebesar USD 15 juta untuk kepemilikan 25% harus dibayarkan ke Perusahaan Proyek; dan
 - selanjutnya USD 25 juta dapat diinvestasikan untuk memperoleh tambahan syarat kepemilikan 15%, termasuk Keputusan Investasi Final.

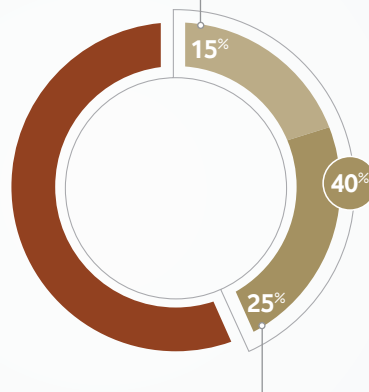
Pemegang saham Masmino dan Indika Energy akan berkolaborasi dalam mencari pihak ketiga dan pembiayaan mezanin dengan sejumlah bank internasional untuk mengamankan pembiayaan Proyek Awak Mas

an initial tranche of USD 15 million for 25% ownership is to be paid into the Project Company; and

tahap awal sebesar USD 15 juta untuk kepemilikan 25% harus dibayarkan ke Perusahaan Proyek; dan

a further USD 25million can be invested to acquire an additional 15% ownership subject conditions including a Final Investment Decision.

selanjutnya USD 25 juta dapat diinvestasikan untuk memperoleh tambahan syarat kepemilikan 15%, termasuk Keputusan Investasi Final.



In November 2019, PT Indika Energy group agreed to acquire up to a 40% interest in Masmino for USD40M.

Pada November 2019, PT Indika Energy group setuju untuk mengakuisisi hingga 40% kepemilikan di Masmino senilai USD40 juta.

Board Of Commissioners Supervisory Task During 2019 Financial Year

Tugas Pengawasan Dewan Komisaris Selama Tahun Buku 2019



The Company is committed to maintaining high standards of corporate governance in the performance of our duties and upholding investor confidence in the operations of the business.

The Board of Commissioners is responsible for the general supervision, to provide advice and monitor the function of the Board of Directors while running its day to day operations.

The roles, duties, authorities, and responsibilities of the Board of Commissioners are set out in the Article 15 of the Company's Articles of Association.

Perusahaan berkomitmen untuk mempertahankan standar tinggi tata kelola perusahaan dalam pelaksanaan tugas kami dan menjunjung tinggi kepercayaan investor terhadap operasional bisnis kami.

Dewan Komisaris bertanggung jawab atas pengawasan umum, memberikan saran dan memantau fungsi Direksi, sementara Direksi menjalankan tugas operasional sehari-hari.

Peran, tugas, wewenang, dan tanggung jawab Dewan Komisaris diatur dalam Pasal 15 Anggaran Dasar Perusahaan.

Members of The Board of Commissioners & Directors

Anggota Dewan Komisaris & Direksi

Pursuant to Law No. 40 of 2007 regarding the Limited Liability Company ("**Company Law**"), the General Meeting of Shareholders ("**GMS**"), the Board of Commissioners and the Board of Directors play a key role in the successful implementation and management of the Company.

The GMS undertakes important decisions which is based on the Company's interests and in line with the provisions of the Articles of Association and applicable legislation, while the Board of Directors manage the company and the Board of Commissioners perform the supervisory function on the performance of corporate management run by the Board of Directors.

Members of the Board of Commissioners and the Board of Directors are appointed by the GMS for a period of 5 (five) years commencing from the date that the GMS has been closed and shall be expired at the 5th anniversary of the respective GMS date and may be reappointed as provided in Law 40 of 2007.

On 31 October 2019, the company changed the composition of Board Commissioners and the Board Directors thru the GMS. The resignation of Mr. Michael John Spreadborough and Mr. Martin James Pyle as Commissioners and the appointment of Mr. Gregory Paul Foulis and Mr. Tatan Achmad Taufik as the new Board of Commissioner members of the Company were accepted. In respect of the Board of Directors resignations of Mr. Craig Kevin Smyth as Director and the appointment of Mr. Neil Simon Whitaker and Mr. Derek John Humphry as new Directors of the Company were accepted.

The composition of the new Board of Directors and Board of Commissioners of the Company was effective in force on January 30, 2020 as stated in Deed No. 69 which was made before Darmawan Tjoa, SH., Notary in Jakarta and the issuance of Receipt of Notification on Changes to Company Data No. AHU-AH.01.03-0053875 by the Ministry of Law and Human Rights, as a follow-up to the Company after receiving approval from the Ministry of Energy and Mineral Resources of the Republic of Indonesia through its approval letter No. 22/30/MEM.B/ 020 on January 16, 2020. Thus, the changes in the Composition of the Board of Directors and the Board of Commissioners are as follows:

Berdasarkan Undang-Undang No. 40 tahun 2007 tentang Perseroan Terbatas ("**UU Perseroan**"), Rapat Umum Pemegang Saham ("**RUPS**"), Dewan Komisaris dan Direksi memainkan peran penting dalam keberhasilan implementasi dan manajemen Perusahaan.

RUPS mengambil keputusan penting yang didasarkan pada kepentingan Perusahaan dan sejalan dengan ketentuan Anggaran Dasar dan peraturan perundang-undangan yang berlaku, sementara Direksi mengelola perusahaan dan Dewan Komisaris melakukan fungsi pengawasan terhadap kinerja manajemen perusahaan yang dijalankan oleh Direksi.

Anggota Dewan Komisaris dan Direksi diangkat oleh RUPS untuk jangka waktu 5 (lima) tahun terhitung sejak tanggal ditutupnya RUPS dan akan berakhir pada peringatan 5 tahun tanggal masing-masing RUPS dan dapat diangkat kembali sebagaimana diatur dalam UU 40 tahun 2007.

Pada 31 Oktober 2019, perusahaan mengubah komposisi Dewan Komisaris dan Direksi melalui RUPS. Pengunduran diri Mr. Michael John Spreadborough dan Mr. Martin James Pyle sebagai Komisaris dan pengangkatan Mr. Gregory Paul Foulis dan Mr. Tatan Achmad Taufik sebagai anggota Dewan Komisaris baru Perusahaan diterima. Sehubungan dengan pengunduran diri Direksi, yakni Mr. Craig Kevin Smyth selaku Direktur, dan pengangkatan Mr. Neil Simon Whitaker dan Mr. Derek John Humphry sebagai Direktur baru Perusahaan diterima.

Komposisi Direksi dan Dewan Komisaris baru Perusahaan berlaku efektif pada 30 Januari 2020 setelah dituangkan dalam Akta No. 69 yang dibuat di hadapan Darmawan Tjoa, SH., Notaris di Jakarta dan diterbitkannya Penerimaan Pemberitahuan Perubahan Data Perseroan No. AHU-AH.01.03-0053875 oleh Kementerian Hukum dan Hak Asasi Manusia, sebagai tindak lanjut Perusahaan setelah menerima persetujuan dari Kementerian Energi dan Sumber Daya Mineral Republik Indonesia melalui surat persetujuan No. 22/30/MEM. B/2020 tertanggal 16 Januari 2020. Dengan demikian, perubahan Komposisi Direksi dan Dewan Komisaris adalah sebagai berikut:



Position/ Jabatan	Before GMS on October 31 st , 2019/ Sebelum RUPS 31 Oktober 2019	After GMS on October 31 st , 2019/ Setelah RUPS 31 Oktober 2019
President Commissioner/ Komisaris Utama	Rob Alan Hogarth	Rob Alan Hogarth
Commissioner/Komisaris	Martin James Pyle	Gregory Paul Foulis
Commissioner/Komisaris	Michael John Spreadborough	Tatan Achmad Taufik, S.E.
President Director/ Presiden Direktur	Boyke Poerbaya Abidin	Boyke Poerbaya Abidin
Director /Direktur	Adrian Reinhart David Rollke	Adrian Reinhart David Rollke
Director /Direktur	Craig Kevin Smyth	Neil Simon Whitaker
Director /Direktur	-	Derek John Humphry

Members of The Board of Commissioners

Anggota Dewan Komisaris

Mr. Rob Alan Hogarth

President Commissioner | Presiden Komisaris



Appointed on 31st October 2019

Mr. Hogarth built his mining industry expertise during a 37 (thirty seven) year career with KPMG, where he was leader of KPMG's Energy and Natural Resources & Major Project Advisory Practices, and lead partner for many of the firm's listed mining clients in the Asia Pacific region. He has been involved with Indonesia since 1983. Since retiring from KPMG in 2009, he has become a director of a range of companies, including AMC Consultants and sits on several audit committees.

Mr. Hogarth is the Chairman of the Risk and Audit Committee of the Environment Protection Authority of Victoria.

Mr. Hogarth is an Independent Non-Executive Director of Nusantara Resources Limited appointed 17 February 2017.

Diangkat pada 31 Oktober 2019

Mr. Hogarth membangun keahliannya dalam industri pertambangan sepanjang 37 (tiga puluh tujuh) tahun berkarier di KPMG, di mana ia memimpin Energy and Natural Resources & Major Project Advisory Practices KPMG, dan menjadi mitra utama bagi banyak perusahaan pertambangan yang terdaftar sebagai klien KPMG di kawasan Asia Pasifik. Dia telah berhubungan dengan Indonesia sejak 1983. Setelah pensiun dari KPMG pada 2009, dia menjadi direktur berbagai perusahaan, termasuk AMC Consultants dan duduk di beberapa komite audit.

Mr. Hogarth adalah Ketua Risk and Audit Committee of the Environment Protection Authority of Victoria.

Mr. Hogarth adalah Direktur Independen Non-Eksekutif Nusantara Resources Limited yang ditunjuk 17 Februari 2017.



Mr. Gregory Paul Foulis

Commissioner | Komisaris



Appointed on 31st October 2019

Greg is a resource sector - finance executive with over 30 years of diverse international experience across a variety of roles ranging from senior executive, business development, and investment advisory.

Greg's most recent position was Chief Executive Office of Kingsgate Consolidated Limited, an ASX-listed gold mining and development company. Greg led the restructuring, divestment, and re-focus of the business, including the elimination of a debt burden of over USD100 million.

Greg received an M.Comm (Finance) from the University of NSW in 1992 and a B.AppSc. (Hons) in Geology from the NSW Institute of Technology in 1984. He is a Graduate Member of the Australian Institute of Company Directors and a Fellow of the Australian Institute of Mining and Metallurgy.

Diangkat pada 31 Oktober 2019

Greg adalah eksekutif sektor sumber daya - keuangan dengan lebih dari 30 tahun pengalaman internasional yang beragam di berbagai peran, mulai dari eksekutif senior, pengembangan bisnis, dan penasihat investasi.

Posisi terbaru Greg adalah Kepala Kantor Eksekutif Kingsgate Consolidated Limited, sebuah perusahaan pertambangan dan pengembangan emas yang terdaftar di ASX. Greg memimpin restrukturisasi, divestasi, dan fokus ulang bisnis, termasuk penghapusan beban utang lebih dari USD100 juta.

Greg menerima gelar M.Comm (Keuangan) dari University of NSW pada tahun 1992 dan B.AppSc. (Hons) di bidang Geologi dari NSW Institute of Technology pada 1984. Dia adalah anggota pascasarjana dari Australian Institute of Company Directors dan anggota dari Australian Institute of Mining and Metallurgy.

Members of The Board of Commissioners

Anggota Dewan Komisaris

Mr. Tatan Achmad Taufik

Commissioner | Komisaris



Appointed on 31st October 2019

Mr. Tatan started his early career as a Vice President Global Treasury at the JP Morgan Chase Bank in 1989 until 2005 and continued his role as a Director of Global Financial Market / Country Treasurer at American Express Bank. He also held the title of Senior Finance Advisor at PT Antam Tbk. (Persero).

His last position was a Chief Executive Officer at PT Antam Resourcindo before moving in to Indika Group and currently hold the position of Director PT Kideco Jaya Agung.

Diangkat pada 31 Oktober 2019

Mr. Tatan memulai karir awalnya sebagai Wakil Presiden Global Treasury di JP Morgan Chase Bank dari 1989 hingga 2005, kemudian menjabat sebagai Direktur Global Financial Market / Country Treasurer di American Express Bank. Ia juga duduk sebagai Penasihat Keuangan Senior di PT Antam Tbk. (Persero).

Jabatan terakhirnya adalah Chief Executive Officer di PT Antam Resourcindo sebelum pindah ke Indika Group dan saat ini menjabat sebagai Direktur PT Kideco Jaya Agung.



Members of The Board of Directors

Anggota Direksi

Mr. Boyke Poerbaya Abidin

President Director | Direktur Utama



Appointed on 31st October 2019

Mr. Abidin holds a Bachelor of Science in Business Administration from International University Europe – London. He has more than 25 (twenty-five) years' experience in Indonesian management. Previously a Government Liaison Officer for the Rawas Gold Mine in South Sumatra, Mr. Abidin has extensive in-country expertise. He is President Director of Indonesian Operations for One Asia Resources and has been a Director of the Company since 2000. He is also a director of PT Bumi Suksesindo (a subsidiary of PT Merdeka Copper Gold Tbk), PT Resources Indonesia, PT Dwinad Nusa Sejahtera and PT Sorikmas Mining.

Diangkat pada 31 Oktober 2019

Mr. Abidin memperoleh gelar Bachelor of Science di bidang Administrasi Bisnis dari International University Europe - London. Ia memiliki pengalaman lebih dari 25 (dua puluh lima) tahun dalam manajemen Indonesia. Pernah menjabat sebagai Staf Penghubung Pemerintah untuk Tambang Emas Rawas di Sumatra Selatan, Mr. Abidin memiliki pengalaman yang luas di dalam negeri. Dia adalah Presiden Direktur Operasi Indonesia untuk One Asia Resources dan pernah menjabat Direktur Perusahaan sejak 2000. Dia juga direktur PT Bumi Suksesindo (anak perusahaan PT Merdeka Copper Gold Tbk), PT Resources Indonesia, PT Dwinad Nusa Sejahtera dan PT Sorikmas Mining.

Mr. Adrian Reinhart David Rollke

Director | Direktur



Appointed on 31st October 2019

Mr. Rollke has resided in Indonesia for the last 8 (eight) years. He holds a Bachelor Degree in Economics from the University of Western Ontario and has been involved in the finance and management of natural resource companies for over twenty-five years and has served on the board of several resource companies. Mr. Rollke was instrumental in the organization and development of Pencari Mining Corporation (formerly Azure Resources Corporation). He co-founded and One Asia Resources Limited and is the company's acting CEO. In addition, Mr. Rollke is the Country Manager for Nusantara Resources Limited and a Commissioner of PT Pani Bersama Jaya, a subsidiary of PT Merdeka Copper Gold Tbk.

Diangkat pada 31 Oktober 2019

Mr. Rollke telah tinggal di Indonesia selama 8 (delapan) tahun terakhir. Dia memperoleh gelar Sarjana Ekonomi dari University of Western Ontario dan telah terlibat dalam keuangan dan manajemen perusahaan sumber daya alam selama lebih dari dua puluh lima tahun dan pernah duduk sebagai anggota dewan di beberapa perusahaan sumber daya alam. Rollke berperan penting dalam organisasi dan pengembangan Pencari Mining Corporation (sebelumnya Azure Resources Corporation). Dia ikut mendirikan One Asia Resources Limited dan menjabat sebagai CEO perusahaan. Selain itu, Mr. Rollke adalah Country Manager untuk Nusantara Resources Limited dan Komisaris PT Pani Bersama Jaya, anak perusahaan PT Merdeka Copper Gold Tbk.



Members of The Board of Directors

Anggota Direksi

Mr. Neil Simon Whitaker

Director | Direktur



appointed 24 September 2019

Neil has over 40 years' experience in the mining sector and has held operating and senior executive roles with companies such as Anglo American, WMC Resources, Newcrest Mining, Clough Ltd and their Indonesian subsidiary PT Petrosea Tbk. Neil has extensive international board and operating experience with a demonstrated background in leading resource companies through the transitional stages of the full project life cycle. Having previously worked in the Asia-Pacific region as the Chief Operating Officer for Petrosea and with our Indonesian strategic partner Indika Energy, Neil has the relevant local knowledge and experience to lead the Awak Mas Gold Project through the next phases of development.

Diangkat pada 24 September 2019

Neil memiliki pengalaman lebih dari 40 tahun di sektor pertambangan dan pernah menduduki jabatan operasional dan eksekutif senior di perusahaan-perusahaan seperti Anglo American, WMC Resources, Newcrest Mining, Clough Ltd, dan anak perusahaannya di Indonesia, PT Petrosea Tbk. Neil pernah duduk di dewan direksi dan memegang jabatan operasional di level internasional dengan latar belakang perusahaan-perusahaan sumber daya terkemuka, mengelola tahapan transisi sebuah siklus proyek secara penuh. Setelah sebelumnya bekerja di kawasan Asia-Pasifik sebagai Chief Operating Officer untuk Petrosea dan dengan menggandeng mitra strategis kami di Indonesia, Indika Energy, Neil memiliki pengetahuan dan pengalaman lokal yang relevan untuk memimpin Proyek Awak Mas menuju fase pengembangan berikutnya.

Mr. Derek John Humphry

Director | Direktur



Appointed on 31st October 2019

Derek has a strong background in both finance and mining, graduating from Murdoch University with a Bachelor of Commerce and Economics. Derek's extensive experience includes financial management of resources companies during feasibility studies, financing and development of mines.

Derek has previously held senior management roles at Brockman Mining Australia, Energy and Minerals Australia, Intrepid Mines, and Lion Ore Mining.

Diangkat pada 31 Oktober 2019

Derek memiliki latar belakang yang kuat di bidang keuangan dan pertambangan, lulus dari Universitas Murdoch dengan gelar Sarjana Perdagangan dan Ekonomi. Pengalaman Derek yang luas mencakup manajemen keuangan perusahaan sumber daya alam dalam proses studi kelayakan, pembiayaan dan pengembangan tambang.

Derek sebelumnya berperan sebagai manajemen senior di Brockman Mining Australia, Energy and Minerals Australia, Intrepid Mines, dan Lion Ore Mining.



Remuneration of The Board of Directors and Commissioners

Remunerasi Dewan Direksi dan Komisaris



The total remuneration (salaries and other allowances) paid to the Board of Directors during 2019 totaled IDR 3,466,226,463.

No remuneration was paid to the Board of Commissioners during 2019.

Total remuneration (gaji dan tunjangan lainnya) yang dibayarkan kepada Dewan Direksi selama 2019 adalah sebesar Rp.3.466.226.463.

Tidak ada remunerasi yang dibayarkan kepada Dewan Komisaris selama 2019.



Financial Review

Tinjauan Keuangan

The management has overall responsibility for the determination of the Company's risk management objectives and policies and, whilst retaining ultimate responsibility for them, it has delegated the authority for designing and operating processes that ensure the effective implementation of the objectives and policies to the Company's finance function.

The Company per Company Law undertakes an independent audit of its financial statements on an Annual basis. BDO Indonesia are the Company's auditors for 2019.

During 2019, the Company focused on the continued development of the Awak Mas Gold Project and invested approx. USD2.6m in project related expenditures increasing Exploration and Evaluation Assets from USD23.8m to USD26.4m.

Total Current Assets were USD799k at 31 December 2019 (31 December 2018 - USD48k) and total current liabilities of USD885k (31 December 2018 - USD) for a working capital deficit of USD86k (31 December 2018 - USD432k).

At 31 December 2019 long term liabilities are limited to Post-Employment Benefits Liability of USD335k (USD325 – 31 December 2018).

The Company secures funding through advances on equity directly funded from its Shareholders. These advances are converted to Share Capital at the end of the year. The Company received USD4.4m as advances on equity during 2019 (USD5.1m during 2018). The conversion of the advances on equity are subject to approval from the Ministry of Energy and Mineral Resources as such the Share Capital account balance remains unchanged at 31 December 2019 totaled USD33m (USD33m – 31 December 2018).

The Company is still in the development phase and does not generate operating income and incurs losses from general and administrative costs. During 2019 the Company incurred an operating loss of USD1.1m (USD1m – during 2018).

None of the Company's assets are secured by collateral or other credit facilities. No long-term commitments (>12 months) exist in terms of any financial obligations by way of capital and or real property leases.

Management is confident that the Company will be able to continue to discharge its financial obligations, fund project development programs and cover general administrative costs by securing funding from its Shareholders.

Manajemen memiliki tanggung jawab untuk menentukan tujuan dan kebijakan manajemen risiko Perusahaan dan, dengan tetap mempertahankan tanggung jawab ini, manajemen telah mendelegasikan wewenang untuk merancang dan menjalankan proses yang memastikan implementasi tujuan dan kebijakan yang efektif untuk fungsi keuangan Perusahaan.

Perusahaan sesuai UU Perseroan melakukan audit independen atas laporan keuangannya setiap tahun. BDO Indonesia terpilih sebagai auditor Perusahaan untuk tahun 2019.

Selama 2019, Perusahaan fokus pada pengembangan berkelanjutan dari Proyek Awak Mas dan menginvestasikan kurang lebih USD2.6 juta untuk pengeluaran proyek terkait peningkatan Eksplorasi dan Evaluasi Aset dari USD23.8 juta menjadi USD26.4 juta.

Total Aktiva Lancar adalah USD799 ribu per 31 Desember 2019 (31 Desember 2018 - USD48 ribu) dan total kewajiban lancar USD885 ribu (31 Desember 2018 - USD), sedangkan defisit modal kerja USD86 ribu (31 Desember 2018 - USD432 ribu).

Pada 31 Desember 2019, kewajiban jangka panjang terbatas pada Kewajiban Imbalan Pasca-Kerja sebesar USD335 ribu (USD325 - 31 Desember 2018).

Perusahaan mendapatkan pendanaan melalui uang muka ekuitas yang didanai langsung oleh Pemegang Saham. Uang muka ini dikonversi menjadi Modal Saham pada akhir tahun. Perusahaan menerima USD4,4 juta sebagai uang muka ekuitas selama 2019 (USD5,1j selama 2018). Konversi uang muka ekuitas harus mendapat persetujuan dari Kementerian Energi dan Sumber Daya Mineral, sehingga saldo akun Modal Saham tetap tidak berubah pada 31 Desember 2019, yaitu sebesar USD33 juta (USD33 juta - 31 Desember 2018).

Perusahaan masih dalam tahap pengembangan dan tidak menghasilkan pendapatan operasional dan menderita kerugian dari biaya umum dan administrasi. Selama 2019 Perusahaan mengalami kerugian operasi sebesar USD1.1 juta (USD1 juta - selama 2018).

Tidak ada aset Perusahaan yang dijamin dengan agunan atau fasilitas kredit lainnya. Tidak ada komitmen jangka panjang (> 12 bulan) dalam hal kewajiban finansial apa pun melalui penyewaan modal dan atau properti riil.

Manajemen yakin, Perusahaan akan dapat terus melepaskan kewajiban keuangannya, mendanai program pengembangan proyek dan menutup biaya administrasi umum dengan mendapatkan dana dari Pemegang Saham.

Auditors Report And Audited Financial Statements 2019

Laporan Auditor dan Laporan Audit Keuangan 2019



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PT MASMINDO DWI AREA FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2019

AND

INDEPENDENT AUDITORS' REPORT





**DIRECTORS' STATEMENT LETTER
RELATING TO THE
RESPONSIBILITY ON THE FINANCIAL STATEMENTS
AS OF 31 DECEMBER 2019
PT MASMINDO DWI AREA**

We, the undersigned:

Name	: Boyke Poerbaya Abidin
Office Address	: Graha Mitra, 4 th Floor Unit 401, Jl. Jend. Gatot Subroto Kav 21, Jakarta Selatan
Phone Number	: (021) - 2519 7877
Position	: President Director
Name	: Adrian Reinhart Rollke
Office Address	: Graha Mitra, 4 th Floor Unit 401, Jl. Jend. Gatot Subroto Kav 21, Jakarta Selatan
Phone Number	: (021) - 2519 7877
Position	: Director

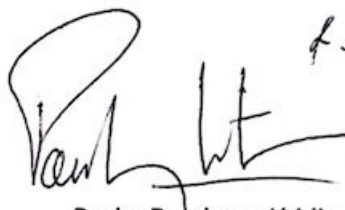
State that:

1. We are responsible for the preparation and presentation of the financial statements of PT Masmindo Dwi Area (the "Company");
2. The financial statements of the Company have been prepared and presented in accordance with Indonesian Financial Accounting Standards;
3.
 - a. All information contained in the financial statements are complete and correct;
 - b. The financial statements do not contain misleading material information or facts, and do not omit material information and facts;
4. We are responsible for the Company's internal control system.

This statement letter is made truthfully.

For and on behalf of the Board of Directors

Jakarta, 6 March 2020


Boyke Poerbaya Abidin
 President Director




Adrian Reinhart Rollke
 Director

PT MASMINDO DWI AREA

Gedung Graha Mitra, 4th Floor, R.401
 Jl. Jend Gatot Subroto Kav. 21
 Karet Semanggi
 Jakarta Selatan 12930
 TEL. : +6221 2519 7877
 FAX. : +6221 2519 8614

Exhibit A

PT MASMINDO DWI AREA
STATEMENT OF FINANCIAL POSITION
31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

	<u>Notes</u>	<u>2 0 1 9</u>	<u>2 0 1 8</u>
ASSETS			
Current assets			
Cash and banks	4	183,588	102,873
Prepayments and advances	5	115,482	45,357
Mine closure and reclamation	13	499,760	-
Total current assets		<u>798,830</u>	<u>148,230</u>
Non-current assets			
Prepaid taxes	11a	1,420,943	1,199,090
Property and equipment	6	131,670	102,193
Exploration and evaluation assets	7	26,361,454	23,769,508
Restricted cash	8	133,825	-
Total non-current assets		<u>28,047,892</u>	<u>25,070,791</u>
TOTAL ASSETS		<u>28,846,722</u>	<u>25,219,021</u>

See accompanying Notes to the Financial Statements on Exhibit E
 which are an integral part of the Financial Statements taken as a whole

Exhibit A/2

PT MASMINDO DWI AREA
STATEMENT OF FINANCIAL POSITION
31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

	<u>Notes</u>	<u>2 0 1 9</u>	<u>2 0 1 8</u>
LIABILITIES AND EQUITY			
LIABILITIES			
Current liabilities			
Trade payables	9	164,268	21,644
Accrued expenses	10	197,352	552,776
Provision for mine rehabilitation	13	499,760	-
Taxes payables	11b	23,134	7,593
Total current liabilities		<u>884,514</u>	<u>582,013</u>
Non-current liabilities			
Provision for post-employment benefits	12	335,737	324,970
Total non-current liabilities		<u>335,737</u>	<u>324,970</u>
Total liabilities		<u>1,220,251</u>	<u>906,983</u>
EQUITY			
Share capital - Authorized 816,262 shares, Issued and fully paid - 559,418 shares par value @ Rp 795,000			
	14	32,984,708	32,984,708
Advance paid-in capital	15	4,404,825	-
Other equity component	12	5,874	(16,813)
Accumulated losses		(9,768,936)	(8,655,857)
Total equity		<u>27,626,471</u>	<u>24,312,038</u>
TOTAL LIABILITIES AND EQUITY		<u>28,846,722</u>	<u>25,219,021</u>

See accompanying Notes to the Financial Statements on Exhibit E
which are an integral part of the Financial Statements taken as a whole

Exhibit B

PT MASMINDO DWI AREA
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

	<u>Notes</u>	<u>2 0 1 9</u>	<u>2 0 1 8</u>
General and administrative expenses	16	(1,104,017)	(1,031,886)
Other expenses		(9,062)	(7,656)
LOSS BEFORE TAX		(1,113,079)	(1,039,542)
Tax expenses		-	-
LOSS FOR THE YEAR		(1,113,079)	(1,039,542)
OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS			
Remeasurement of post-employment benefits	12	22,687	20,737
TOTAL COMPREHENSIVE LOSS FOR THE YEAR		(1,090,392)	(1,018,805)

See accompanying Notes to the Financial Statements on Exhibit E
which are an integral part of the Financial Statements taken as a whole

Exhibit C

PT MASMINDO DWI AREA
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

	<u>Share capital</u>	<u>Advance paid-in capital</u>	<u>Other equity component</u>	<u>Accumulated losses</u>	<u>Total</u>
Balance at 1 January 2018	27,867,590	-	(37,550)	(7,616,315)	20,213,725
Share issuance	5,117,118	-	-	-	5,117,118
Loss for the year	-	-	-	(1,039,542)	(1,039,542)
Other comprehensive income	-	-	20,737	-	20,737
Balance at 31 December 2018	32,984,708	-	(16,813)	(8,655,857)	24,312,038
Advance paid-in capital	-	4,404,825	-	-	4,404,825
Loss for the year	-	-	-	(1,113,079)	(1,113,079)
Other comprehensive income	-	-	22,687	-	22,687
Balance at 31 December 2019	<u>32,984,708</u>	<u>4,404,825</u>	<u>5,874</u>	<u>(9,768,936)</u>	<u>27,626,471</u>
	Note 14	Note 15	Note 12		

See accompanying Notes to the Financial Statements on Exhibit E
which are an integral part of the Financial Statements taken as a whole

Exhibit D

PT MASMINDO DWI AREA
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

	<u>Notes</u>	<u>2 0 1 9</u>	<u>2 0 1 8</u>
CASH FLOWS FROM OPERATING ACTIVITIES			
Payments to employees	(	631,152)	(391,388)
Payments to supplier and others	(	904,978)	(1,117,799)
Receipts from current account		<u>585</u>	<u>502</u>
Net cash flows used in operating activities	(	<u>1,535,545)</u>	<u>(1,508,685)</u>
CASH FLOWS FROM INVESTING ACTIVITIES			
Payments for exploration and evaluation assets	(	2,706,394)	(3,570,504)
Acquisition of property and equipment	6 (	<u>72,525)</u>	<u>(28,342)</u>
Net cash flows used in investing activities	(	<u>2,778,919)</u>	<u>(3,598,846)</u>
CASH FLOWS FROM FINANCING ACTIVITY			
Additional share issuance		-	5,117,118
Additional paid-in capital		<u>4,404,825</u>	<u>-</u>
NET INCREASE IN CASH AND BANK		90,361	9,587
CASH AND BANKS AT BEGINNING OF YEAR		102,873	85,128
Effect of foreign exchange translation on cash and banks	(	<u>9,646)</u>	<u>8,158</u>
CASH AND BANKS AT END OF YEAR		<u><u>183,588</u></u>	<u><u>102,873</u></u>

See accompanying Notes to the Financial Statements on Exhibit E
which are an integral part of the Financial Statements taken as a whole

Exhibit E

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

1. GENERAL

a. Establishment and general information

PT Masmindo Dwi Area (the "Company") was established under the framework of the Foreign Capital Investment Law No. 1, 1967 based on Notarial Deed No. 10 made before Dra. Suci Amatul Qudus, SH., CN., substitute notary of B.R.A.Y Mahyastoeti Notonagoro, S.H., Notary in Jakarta dated 10 February 1998. The Company's Articles of Association were approved by the Minister of Justice in decision letter No. C2- 919.HT.01.01.TH.98 dated 16 February 1998 and published in a Supplement to the State Gazette on 5 June 1998.

Article of association of the Company has been amended several times, lastly throughout Notarial Deed from Darmawan Tjoa S.H., S.E. No. 70 dated 18 December 2018 which was related to the decision to increase the issued and paid-up capital and change the Company's capital structure based on the Extraordinary General Meeting of Shareholders of the Company. The notification of amendment of the Articles of Association has been received by the Minister of Law and Human Rights of the Republic of Indonesia pursuant to Notification Receipt No. AHU-AH.01.03-0277741 dated 19 December 2018.

In accordance with article 3 of the Company's Articles of Association, the Company is engaged in the mining activities in a Contract of Work (CoW) area as approved by the Government of the Republic of Indonesia.

The Company is domiciled in Graha Mitra, 4th Floor Unit 401, Jl Jend. Gatot Subroto Kav 21, Jakarta Selatan, Indonesia.

The Company's ultimate parent entity is Nusantara Resources Limited which is a public listed Company in Australia having a registered office in Perth WA, Australia.

The main objective of the Company is to explore, develop, mine and market minerals within the Contract of Work ("CoW") area comprising 14,390 hectares in Latimojong district, Luwu regency, South Sulawesi Province, Indonesia.

On 17 June 2015, the Company obtained Approval on Final Feasibility Study Techno-economy Report based on the decision of Ministry of Energy and Mineral Resources Republic of Indonesia, Directorate General Mineral and Coal No. 1082/30/DBM/2015.

On 12 April 2017, the Company obtained AMDAL Approval and Environmental Permit based on the Governor of South Sulawesi Decree No. 3/M.02a.NP/P2T/03/2017 and Decree No. 2/M.02b.P/P2T/03/2017, respectively.

On 17 May 2017, the Company obtained Final Approval on Feasibility Study based on the decision of Ministry of Energy and Mineral Resources Republic of Indonesia, Directorate General Mineral and Coal No. 1056/30/DJB2017.

On 20 June 2017, the Company obtained construction permit for 3 (three) years based on the Decree of Ministry of Energy and Mineral Resources Republic of Indonesia No. 318.K/30/DJB/2017.

On 16 January 2018, the Company construction period was merged to the operation and production period based on the Decree of Ministry of Energy and Mineral Resources Republic of Indonesia No. 171.K/30/DJB/2018.

On 14 March 2018, the Company signed an amendment to the CoW granted to the Company on 19 February 1998. The amendment more closely aligns the CoW to prevailing regulations.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

1. GENERAL (Continued)

a. Establishment and general information (Continued)

On 9 July 2019, the Company obtained Approval on Addendum of Feasibility Study based on the decision of Ministry of Energy and Mineral Resources of the Republic of Indonesia, Directorate General Mineral and Coal No. 1160/31.02/DBM.PE/2019.

On 17 October 2019, the Company obtained Addendum ANDAL Approval and Environmental Permit based on the Governor of South Sulawesi Decree No.14/M.02a/PTSP/2019 and Decree No.15/M.02b/PTSP/2019, respectively.

b. Board of commissioners, directors and employees

As of 31 December 2019 and 2018, the composition of the Company's Board of Commissioner and Director were as follows:

President Commissioner	:	Rob Alan Hogarth
Commissioner	:	Michael John Spreadborough
President Director	:	Boyke Poerbaya Abidin
Director	:	Adrian Reinhart Rollke
Director	:	Craig Kevin Smyth

As of 31 December 2019 and 2018, the Company employed a total number of 58 and 27 permanent employees, respectively (unaudited).

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

a. Basic of preparation and presentation of the financial statement

The financial statements have been prepared in accordance with Indonesian Financial Accounting Standards ("FAS"), which includes the statements ("SFAS") and interpretations ("IFAS") issued by the Financial Accounting Standards Board of Indonesian Institute of Accountants. The financial statements are prepared on the accrual basis, except for the statements of cash flow, and using the historical cost concept of accounting, except as disclosed in the relevant notes to the financial statements herein. The statement of cash flows are prepared using the direct method and classify cash flows into operating, investing and financing activities.

The financial statements have been prepared and are presented in United States Dollar, which is the Company's functional currency, in accordance with CoW and the approval letter from Minister of Finance No. KEP-236/PJ.42/1998 dated 21 April 1998.

The preparation of financial statements in compliance with SFAS requires the use of certain critical accounting estimates. It also requires the Company to exercise judgement in applying the Company accounting policies. The areas where significant judgment and estimates have been made in preparing the financial statements and their effect are disclosed in Note 3.

The accounting policies applied are consistent with those of the financial statements for the prior year, which conform to the Indonesian Financial Accounting Standards, unless otherwise stated.

Exhibit E/3

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)**b. New Standards, Amendments, Improvements and Interpretations of Financial Accounting Standards**

New standards, amendments, improvements and interpretations issued and effective for the financial year at or after 1 January 2019 which do not have substantial changes to the Company's accounting policies and had material impact on the financial statements are as follows:

- ISAK 33 "Foreign currency transactions and advance consideration";
- ISAK 34 "Uncertainty over income tax treatments";
- PSAK 22 (Amendment 2018), "Business Combination";
- PSAK 24 (Amendment 2018), "Employee Benefits regarding Plan Amendment, Curtailment or Settlement";
- PSAK 26 (Improvements 2018), "Borrowing costs";
- PSAK 66 (Improvements 2018), "Joint Arrangement".

As at the authorization date of the financial statements, the management is still evaluating the potential impact of the new standards and interpretation and amendments to standards which have been issued but are not yet effective for the financial year beginning on 1 January 2019 as follows:

- PSAK 71 "Financial instruments";
- PSAK 72 "Revenue from contracts with customers";
- PSAK 73 "Leases";
- Amendment PSAK 62 "Insurance contract's";
- ISAK 35 "Presentation of non-profit oriented entities financial statements".

c. Financial instruments

The Company classifies its financial assets and financial liabilities in the following categories:

1. Financial assets and financial liabilities at fair value through profit or loss;
2. Held to maturity investments;
3. Loans and receivables;
4. Available-for-sale financial assets; and
5. Other financial liabilities.

The classification depends on the purpose for which the financials assets and financial liabilities are acquired and is determined at initial recognition.

1) Financial assets

Financial assets are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity investments, or available-for-sale financial assets, as appropriate. The Company determines the classification of its financial assets after initial recognition and, where allowed and appropriate, re-evaluates this designation at each financial year-end.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

c. Financial instruments (Continued)

1) Financial assets (Continued)

Company's financial assets consist of cash and banks.

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

At initial recognition, financial assets that are classified as loans and receivables are measured at fair value plus directly attributable transaction costs. These financial assets are subsequently measured at amortized cost using the effective interest rate method net of allowance for impairment loss, if necessary.

2) Financial liabilities

Financial liabilities are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. As at the reporting dates, the Company has no other financial liabilities other than those classified as loans and borrowings. The Company determines the classification of its financial liabilities at initial recognition.

Other financial liabilities are subsequently measured at amortized cost, using the effective interest method. Gains and losses are recognized in profit and loss when the liabilities are derecognized, and through the amortization process.

The Company financial liabilities consist of trade payables, due to related parties and accrued expenses.

3) Derecognition

A financial asset is derecognized when the rights to receive cash flows from the asset have expired.

On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

All regular way purchases and sales of financial assets are recognized or derecognized on the trade date, which is the date that the Company commits to purchase or sell the asset.

Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the period generally established by regulation or convention in the market place concerned.

Exhibit E/5

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)**c. Financial instruments (Continued)****4) Offsetting financial instruments**

Financial assets and liabilities are set-off and the net amount is presented in the statements of financial position when, and only when, the Company has the legal right to set-off the amounts and intends either to settle on a net basis or realize the asset and settle the liabilities simultaneously.

Income and expenses are presented net only when permitted by accounting standards.

5) Impairment of financial assets

The Company assesses at the end of each reporting period whether there is any objective evidence that a financial asset or Company of financial assets is impaired.

d. Cash and banks

Cash and banks include cash on hand and in banks and not being used as collateral of loans and not restricted for use.

e. Property and Equipment

Components of property and equipment are initially recognized at cost. As well as the purchase price, cost includes directly attributable costs and the estimated present value of any future unavoidable costs of dismantling and removing items.

The Company has applied the cost model in subsequent recognition for its property and equipment.

Property and equipment, other than land are recognized at cost less accumulated depreciation and accumulated impairment losses. Property and equipment were depreciated using the straight-line method for a certain percentage of the acquisition price.

Depreciation is provided on all other items of property and equipment so as to write-off their carrying value over their expected useful economic lives.

It is provided at the following rates:

	<u>Years</u>
Equipments	6
Vehicles and Heavy Equipments	3
Camp facilities, Field Equipments and Office Equipments	3

Depreciation expenses are taken to profit or loss during the financial year in which they are incurred.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

e. Property and Equipment (Continued)

Repairs and maintenance expenses are taken to profit or loss during the financial year in which they are incurred.

The cost of major renovations and restorations is included in the carrying amount of the asset when it is probable that future economic benefits in excess of the originally assessed standard of performance of the existing asset will flow to Company, and depreciated over the remaining useful life of the asset.

The residual value, useful life and depreciation method are reviewed at the end of each reporting period, and adjusted prospectively, if appropriate. Where an indication of impairment exists, the carrying amount of the asset is assessed and written down immediately to its recoverable amount.

Gains or losses on disposal are determined by comparing proceeds with the carrying amount and are included in profit or loss from operations.

f. Impairment of non-financial assets

The Company assesses at each reporting date whether there is any indication that an asset may be impaired. If any such indication exists, or when annual impairment assessment for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets.

In assessing value in use, the estimated future cash flows expected to be generated by the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In assessing fair value less costs to sell, an appropriate valuation model is used.

Where the carrying amount of an asset exceeds its recoverable amount, the asset is written down to its recoverable amount. Impairment losses are recognized in profit or loss unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized previously. Such reversal is recognized in profit or loss unless the asset is measured at revalued amount, in which case the reversal is treated as a revaluation increase.

Exhibit E/7

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

g. Exploration and evaluation assets

Exploration and evaluation activity involves the search for mineral resources after the Company has obtained legal rights to explore in a specific area, determination of the technical feasibility and assessment of the commercial viability of an identified resource.

Exploration and evaluation expenditure comprises costs that are directly attributable to:

- Acquisition of rights to explore;
- Topographical, geological, geochemical and geophysical studies;
- Trenching and sampling; and
- Activities involved in evaluating the technical feasibility and commercial viability of extracting mineral resources.

Exploration and evaluation expenditure related to an area of interest is written off as incurred, unless it is capitalized and carried forward, on an area of interest basis, provided one of the following conditions is met:

- (i) The rights of tenure of an area are current and it is considered probable that the costs will be recouped through successful development and exploitation of the area of interest or, alternatively, by its sale; or
- (ii) Exploration activities in the area of interest have not yet reached the stage which permits a reasonable assessment of the existence or otherwise of economically recoverable reserves and active and significant operations in or in relation to the area of interest are continuing.

Capitalized costs include costs directly related to exploration and evaluation activities in the relevant area of interest, and exclude physical assets, which are recorded in fixed assets. General and administrative costs are allocated to an exploration or evaluation asset only to the extent that those costs can be related directly to operational activities in the relevant area of interest. Capitalized exploration and evaluation expenditure is written off where the above conditions are no longer satisfied.

As the exploration and evaluation assets are not available for use, they are not depreciated. Exploration and evaluation assets are assessed for impairment if facts and circumstances indicate that impairment may exist. Exploration and evaluation assets are also tested for impairment once commercial reserves are found, before the assets are transferred to "mining properties - mines under development".

h. Provision for mine rehabilitation

The Company recognizes the present value of estimated costs of legal and constructive obligations required to restore the condition of mining area caused by mining operations in the period in which the obligation is incurred. The reclamation and mine closure activities include dismantling and removing structures, rehabilitating mines and tailings dams, dismantling operating facilities, closure of plant and waste site, and restoration, reclamation and re-vegetation of affected areas.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

h. Provision for mine rehabilitation (Continued)

The obligation normally arises when the asset is installed or the ground/environment is disturbed by mining operations. At the initial recognition of the liability, the present value of the estimated costs is capitalized by increasing the carrying amount of the related mining assets to the extent that it was incurred as a result of the development/construction activities in the exploration and development mining areas.

Any reclamation and mine closure obligations that arise through the production phase are expensed as incurred. Over time, the discounted liability is increased for the change in present value based on the discount rates that reflect current market assessments and the risk specific to the liability. The periodic unwinding of the discount is recognized in the statement of comprehensive income as a finance cost.

Additional disturbances or changes in reclamation and mine closure costs are recognized as additions or changes to the corresponding assets and reclamation and mine closure liability when they occur.

Changes to estimated future costs are recognized in the statement of financial position by either increasing or decreasing the reclamation and mine closure liability and the related asset if the estimated costs of reclamation and mine closure were originally recognized as part of an asset measured in accordance with SFAS 16 (Annual Improvement 2015), "Fixed Assets". Any reduction in the reclamation and mine closure liability and deduction from the related asset may not exceed the carrying amount of that asset. If it does exceed the carrying value of the related asset, such excess is immediately recognized in the statement of comprehensive income.

If the change in estimates results in an increase in the reclamation and mine closure liability and, an addition to the carrying value of the related asset, Group assesses the impairment in accordance with, "Impairment of Asset" if there is indication of impairment of such assets.

i. Provision for post-employment benefits

Company provides defined benefit of post-employment benefits to its employees in accordance with Labor Law No. 13/2003.

No funding has been made to this defined benefit plan.

The actuarial valuation method used to determine the present value of the defined benefit liability, related current service cost and past service costs is the Projected Unit Credit method.

Current service costs, interest costs, vested past service costs, and effect of curtailment or settlement (if any) are charged directly to the current statement of profit or loss and other comprehensive income.

Past service costs which are not yet vested and actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions recognized in other comprehensive income and presented in the statement of profit or loss and other comprehensive income. Actuarial gains and losses and adjustments arising which recognized in other comprehensive income will be immediately recognized in retained earnings. Actuarial gains and losses are not reclassified to profit or loss in subsequent periods.

Exhibit E/9

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)**j. Expense recognition**

Expenses are recognized when incurred (accrual basis).

k. Taxation**Current tax**

Current income tax assets and/or liabilities comprise those obligations to, or claims from tax authorities relating to the current or prior reporting period, that are unpaid at the statement of financial position date.

Current income tax are calculated according to the tax rates and tax laws applicable to the fiscal periods to which it's relate, based on the taxable profit for the period. All changes to current tax assets or liabilities are recognized as a component of income tax expense in the statement of profit or loss and other comprehensive income.

Deferred tax

Deferred tax assets and liabilities are recognized for temporary differences between the financial and the tax bases of assets and liabilities at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that future taxable profit will be available against which the deductible temporary difference can be utilized. Deferred tax liabilities are recognized for all taxable temporary differences. Future tax benefits, such as the carry-forward of unused tax losses, are also recognized to the extent that realization of such benefits is probable.

Deferred tax assets and liabilities are measured at tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantially enacted at the statements of financial position date.

Amendments to tax obligations are recorded when an assessment letter is received and/or, if objected to and/or appealed against by the Company, when the result of the objection and/or appeal is determined.

The carrying amount of deferred tax assets is reviewed at each statement of financial position date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each statement of financial position date and are recognized to the extent that it has become probable that future taxable income will allow the deferred tax asset to be recovered.

l. Transaction with related parties

A related party is a person or entity that is related to the entity that is preparing its financial statements.

- i. A person or a close member of that person's family is related to a reporting entity if that person:
 - Has control or joint control over the reporting entity;
 - Has significant influence over the reporting entity; or
 - Is a member of the key management personnel of the reporting entity or a parent of the reporting entity.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

l. Transaction with related parties (Continued)

ii. An entity is related to a reporting entity if any of the following condition applies:

- The entity and the reporting entity are members of the same Group (which means that each parent, Subsidiary and fellow Subsidiary is related to the others);
- One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a Group of which the other entity is a member);
- Both entities are joint ventures of the same third party.
- One entity is joint venture of a third entity and the other entity is an associate of the third entity.
- The entity is a post-employment defined benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity. If the reporting entity is running itself such a plan, the sponsoring employers are also related to the reporting entity.
- The entity is controlled or jointly controlled by a person identified above.
- A person has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).
- An entity, or member of a group in which the entity is a part of that group, provides the services of key management personnel to the reporting entity or to the parent entity of the reporting entity.

The transactions are made based on terms agreed by the parties. Such terms may not be the same as those transactions with unrelated parties.

m. Events after the reporting period

Events after the reporting period that provide evidence of conditions that existed at the end of the reporting period (adjusting events) are reflected in the financial statements.

Events after the reporting period that are not adjusting events are disclosed in the notes to financial statements when material.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of Company's financial statements requires the use of certain critical accounting estimates. It also requires Company management to exercise judgement in applying Company's accounting policies. The areas where significant judgements and estimates have been made in preparing the financial statements and their effect are discussed below:

a. Judgement made in applying accounting policies

In the process of applying the Company's accounting policies, management has made the following judgements, apart from those involving estimations, which have the most significant effect on the amounts recognized in the financial statements:

Exhibit E/11

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (Continued)**a. Judgement made in applying accounting policies (Continued)****Income tax**

Company has exposure to income taxes. Significant judgement is involved in determining the provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business.

Company recognizes liabilities for expected tax issues based on estimates of whether additional taxes will be due.

Where the final tax outcome of these matters is different from the amounts that were initially recognized, such differences will impact the current income tax and deferred tax provisions in the period in which such determination is made.

b. Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

Useful lives of property and equipment

Management estimates the useful lives of these property and equipment to be between 3 to 6 years. These are common life expectancies applied in the industry.

Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets.

Therefore, future depreciation charges could be revised. The carrying amount of Company's property and equipment at the end of the reporting period is disclosed in Note 6 to the financial statements.

4. CASH AND BANKS

	<u>2019</u>	<u>2018</u>
Cash on hand	4,861	4,143
Cash in banks	<u>178,727</u>	<u>98,730</u>
Total	<u>183,588</u>	<u>102,873</u>

Cash and banks placed with third parties.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

5. PREPAYMENTS AND ADVANCES

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Other advances	18,992	28,400
Prepaid expenses	<u>96,490</u>	<u>16,957</u>
Total	<u>115,482</u>	<u>45,357</u>

6. PROPERTY AND EQUIPMENT

	<u>2 0 1 9</u>			
	<u>Beginning Balance</u>	<u>Additions</u>	<u>Deductions</u>	<u>Ending balance</u>
Acquisition cost				
Direct ownership				
Leasehold Improvement	10,206	14,357	-	24,563
Office Equipments	230,501	56,602	-	287,103
Vehicles and Heavy Equipments	99,453	-	-	99,453
Equipments	84,787	1,566	-	86,353
Field Equipments	12,671	-	-	12,671
Camp Facilities	<u>1,534</u>	<u>-</u>	<u>-</u>	<u>1,534</u>
Total	<u>439,152</u>	<u>72,525</u>	<u>-</u>	<u>511,677</u>
Accumulated depreciation				
Direct ownership				
Leasehold Improvement	(10,206)	(1,795)	-	(12,001)
Office Equipments	(173,714)	(27,229)	-	(200,943)
Vehicles and Heavy Equipments	(74,823)	(9,235)	-	(84,058)
Equipments	(64,011)	(4,789)	-	(68,800)
Field Equipments	(12,671)	-	-	(12,671)
Camp Facilities	<u>(1,534)</u>	<u>-</u>	<u>-</u>	<u>(1,534)</u>
Total	<u>(336,959)</u>	<u>(43,048)</u>	<u>-</u>	<u>(380,007)</u>
Net carrying value	<u>102,193</u>			<u>131,670</u>

Exhibit E/13

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
(Expressed in United States Dollar, unless otherwise stated)

6. PROPERTY AND EQUIPMENT (Continued)

	2 0 1 8			
	Beginning balance	Additions	Deductions	Ending balance
Acquisition cost				
Direct ownership				
Leasehold Improvement	10,206	-	-	10,206
Office Equipments	218,504	11,997	-	230,501
Vehicles and Heavy Equipments	99,453	-	-	99,453
Equipments	68,442	16,345	-	84,787
Field Equipments	12,671	-	-	12,671
Camp Facilities	1,534	-	-	1,534
Total	410,810	28,342	-	439,152
Accumulated depreciation				
Direct ownership				
Leasehold Improvement	(10,206)	-	-	(10,206)
Office Equipments	(154,619)	(19,095)	-	(173,714)
Vehicles and Heavy Equipments	(65,586)	(9,237)	-	(74,823)
Equipments	(60,015)	(3,996)	-	(64,011)
Field Equipments	(12,671)	-	-	(12,671)
Camp Facilities	(1,534)	-	-	(1,534)
Total	(304,631)	(32,328)	-	(336,959)
Net carrying value	106,179			102,193

Depreciation expenses of property and equipment for the years ended 31 December 2019 and 2018 amounted to USD 43,048 and USD 32,328, respectively, were charged to general and administrative expenses (Note 16).

Management concludes that there is no impairment of the Company's property and equipment for the years ended 31 December 2019 and 2018.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
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7. EXPLORATION AND EVALUATION ASSETS

This account represents capitalised exploration and evaluation expenditures incurred prior to the commencement of commercial production and consists of:

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Drilling	6,444,358	5,876,360
Consultant	5,628,453	5,045,443
Salaries and other cost	4,443,989	3,895,723
Geology	2,781,042	2,748,416
Camp expense	2,735,383	2,283,412
Other general and administrative	1,373,912	1,308,619
Assay and analysis	1,305,189	1,165,030
Travel and accommodation	479,558	432,036
Environment	466,406	393,127
Infrastructure	355,983	355,983
Road development	201,472	143,608
Land compensation	108,199	108,199
Heavy equipment hire	37,510	13,552
	<u>26,361,454</u>	<u>23,769,508</u>

The Company's management believes there is no indication of impairment as of 31 December 2019 and 2018.

8. RESTRICTED CASH

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Restricted Time Deposit	<u>133,825</u>	<u>-</u>

Based on the reclamation guarantee letter from the Indonesian Ministry of Energy and Mineral Resources No.595/37.06/DJB/2019 dated 13 February 2019, the Company must place a reclamation guarantee of USD 1,338,252 in the form of bank guarantees and time deposits. The company has placed 10% of the total reclamation guarantee in the form of time deposits (amounting to USD 133,825), the Company is in the process of submitting a bank guarantee application of 90% of the total reclamation guarantee.

Exhibit E/15

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2019
 (Expressed in United States Dollar, unless otherwise stated)

9. TRADE PAYABLES

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
PT Indodrill Indonesia	84,874	-
PT Vinory Jaya Abadi	30,260	-
PT Geoservices	11,068	-
PT Asih Eka Abadi	7,939	-
InEight Pty Ltd	5,224	-
PT Mitra Pratama Milenia	-	5,882
Others (each below \$5.000)	24,903	15,762
Total	<u>164,268</u>	<u>21,644</u>

10. ACCRUED EXPENSES

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Project consultants	133,887	493,943
Others (each below \$100.000)	63,465	58,833
Total	<u>197,352</u>	<u>552,776</u>

11. TAXATION**a. Prepaid taxes**

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Non-Current		
Value Added Tax	1,420,943	1,197,770
Other tax	-	1,320
Total	<u>1,420,943</u>	<u>1,199,090</u>

Value added tax year 2012

On 22 December 2016, the Company received an Underpayment Tax Assessment Notice (SKPKB) No. 00035/207/12/091/16 from Tax Office for the Value Added Tax in 2012 amounted to Rp 3,314,073,318 or equivalent to USD 242,825.

During the year 2018, The Company has paid amounted to Rp 1,988,443,991 or equivalent to USD 145,695 and the Company has filed an Objection Letter to Tax Office.

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
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(Expressed in United States Dollar, unless otherwise stated)

11. TAXATION (Continued)

a. Prepaid taxes (Continued)

Value added tax year 2012 (Continued)

On 18 December 2019, the Company received Tax court decision letters No.PUT-001870.16 / 2018 / PP / M.XVIA 2019, PUT-001871.16 / 2018 / PP / M.XVIA 2019, PUT-001872.16 / 2018 / PP / M.XVIA 2019, PUT-001873.16 / 2018 / PP / M.XVIA 2019, PUT-001874.16 / 2018 / PP / M.XVIA 2019, PUT-001875.16 / 2018 / PP / M.XVIA 2019, PUT-001876.16 / 2018 / PP / M.XVIA 2019, PUT-001877.16 / 2018 / PP / M.XVIA 2019, PUT-001878.16 / 2018 / PP / M.XVIA 2019, PUT-001879.16 / 2018 / PP / M.XVIA 2019, PUT-001880.16 / 2018 / PP / M.XVIA 2019, PUT-001881.16 / 2018 / PP / M.XVIA 2019 which stated that Tax court decided to fully granted the appeal application filed by the Company against the Decision of Directorate General of Tax. Therefore, the Company is entitle to claim the refund amounted Rp 1,988,443,991 and interest compensation of 2% per months for the payment made on 23 February 2018 (maximum 24 months or 48%).

b. Taxes payables

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Withholding Taxes:		
Article 21	14,582	7,593
Article 4 art 2	5,187	-
Article 23	2,843	-
Value Added Tax	522	-
Total	<u>23,134</u>	<u>7,593</u>

c. Income tax expense

No provision for corporate income tax is provided for the years ended 31 December 2019 and 2018, the Company has not reached operations and has no taxable income.

d. Tax loss carried forward

The Company is entitled under the CoW to offset tax losses carried forward incurred by the Company during the Tax Years up to and including the 2017 Tax Year may be compensated with income starting from the following tax year to no later than Tax Year of 2022. The Company has tax losses on 2018 amounted to USD 1,544,510. These tax losses have been carried forward and have not been recognized its deferred tax asset due to the uncertainty of their recoverability in future periods.

e. Administration

The taxation laws in Indonesia require that the Company calculate and pay individual tax on the basis of self-assessment. Under the prevailing regulation, the Directorate General of Tax may assess or amend taxes within 5 (five) years of the time the tax becomes due.

Exhibit E/17

PT MASMINDO DWI AREA
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12. PROVISION FOR POST-EMPLOYMENT BENEFITS

In March 2003 the Government of Republic Indonesia issued Labor Law No.13/2003 to supersede decree of the Minister of Manpower No. Kep-150/Men/2000.

The post-employment benefits liabilities recognized in the financial statements and post-employment benefits expenses for the year ended 31 December 2019 and 2018 were calculated by PT Quatro Asia Consulting, an independent actuary, in its report dated 16 January 2020 and 15 January 2019, respectively.

The principal assumptions used in determining the Company's post-employment benefits liabilities are as follows:

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Discount rate	7.96%	8.08%
Salary growth rate	10.00%	10.00%
Mortality rate	TMII III year 2011	TMII III year 2011
Disability rate	10% of mortality	10% of mortality
Resignation rate	20% age 20 - 29 years	10% age 18 up to 29 years
	10% age 30 - 39 years	5% age 30 up to 39 years
	5% age 40 - 44 years	3% age 40 up to 44 years
	3% age 45 - 49 years	2% age 45 up to 49 years
	1% age 50 - 54 years	1% age 50 up to 54 years
Normal retirement age	55 years old	55 years old

The amount recognized in the statement of profit or loss and other comprehensive income in respect of post-employment benefits liabilities for the year ended 31 December 2019 and 2018 are as follows:

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Current service cost	71,232	97,333
Interest cost	26,084	14,382
Total (note 16)	<u><u>97,316</u></u>	<u><u>111,715</u></u>

Movement in net liability recognized in statement of the financial position are as follows:

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Beginning of year	324,970	233,992
Post-employment benefits expenses	97,316	111,715
Actuarial (gain) loss recognized in other comprehensive income	(22,687)	(20,737)
Benefits payment	(63,535)	-
Adjustment of exchange rate	(327)	-
Balance at end of the year	<u><u>335,737</u></u>	<u><u>324,970</u></u>

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
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12. PROVISION FOR POST-EMPLOYMENT BENEFITS (Continued)

The components of the provision for post-employment benefits recognised in the statement of financial position are as follows:

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Present value employee benefits - beginning of the year	324,970	233,992
Current service costs	71,232	97,333
Interest costs	26,084	14,382
Benefits payment	(63,535)	-
Actuarial gain recognized in other comprehensive income	(22,687)	(20,737)
Adjustment of exchange rate	(327)	-
Ending balance	<u>335,737</u>	<u>324,970</u>

Amounts recognised in other comprehensive income:

	<u>2 0 1 9</u>	<u>2 0 1 8</u>
Equity - other comprehensive loss beginning	16,813	37,550
Other comprehensive (income)/loss - current	(22,687)	(20,737)
Cumulative (income)/losses recognized in OCI ending	<u>(5,874)</u>	<u>16,813</u>

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions:

	<u>Change in Assumptions</u>	<u>Impact on defined benefit obligation</u>	
		<u>Increase in Assumption</u>	<u>Decrease in Assumption</u>
Discount rate	1%	319,893	353,171
Salary growth rate	1%	353,332	319,352

Expected maturity analysis of undiscounted pension benefits is as follow:

	<u>Less than a year</u>	<u>Between 1 - 2 Years</u>	<u>Between 2 - 5 years</u>	<u>Over 5 year</u>
Post-employment benefits	38,739	23,151	246,158	5,537,330

Exhibit E/19

PT MASMINDO DWI AREA
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13. PROVISION FOR MINE REHABILITATION

The movement in the provision for mine rehabilitation is as follows:

	2019
Provision for mine rehabilitation	
Beginning balance	-
Addition during the year	499,760
Ending balance	499,760
Provision for mine rehabilitation - current portion	499,760
Provision for mine rehabilitation - non-current portion	-
Total	499,760

On 20 December 2010, the Government of Indonesia released an implementing regulation for Mining Law No. 4/2009, i.e. PP No. 78 that deals with reclamations and post-mining activities for both IUP-Exploration and IUP-Production Operation holders.

An IUP-Exploration holder, among other requirements, must include a reclamation plan in its exploration work plan and budget and provide a reclamation guarantee in the form of a time deposit placed at a state-owned bank.

An IUP-Production Operation holder, among other requirements, must (1) prepare a five-year reclamation plan; (2) prepare a post-mining plan; (3) provide a reclamation guarantee which may be in the form of a joint account or time deposit placed at a state-owned bank, a bank guarantee, or an accounting provision; and (4) provide a post-mine guarantee in the form of a time deposit at a state-owned bank.

The requirement to provide reclamation and post-mine guarantees does not release the IUP holder from the requirement to perform reclamation and post-mine activities.

On 28 February 2014, Ministry of Energy and Mineral Resources released Implementing Regulation No. 7/2014 on Reclamation and Post-mining Activities for Mineral and Coal Mining Companies which further regulates the aspect of the reclamation plan, consideration of future value from the post-mining costs and accounting reserve determination.

In compliance with the regulation, as of 31 December 2019, the Company has placed 10% of the total reclamation guarantee in the form of time deposits amounting to USD 133,825 (note 8). The company is in the process of submitting a bank guarantee application of 90% of the total reclamation guarantee.

PT MASMINDO DWI AREA
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14. SHARE CAPITAL

As of 31 December 2019 and 2018, the composition and balance of the Company's shareholders were as follows:

Shareholders	Number of shares	Amount USD	Percentage of Ownership %
Salu Siwa Pty Ltd	559,417	32,984,608	99,9
Vista Gold (Barbados) Corp.	1	100	0,1
	<u>559,418</u>	<u>32,984,708</u>	<u>100</u>

According to the Notarial Deed of Darmawan Tjoa S.H., S.E., No. 70 dated 18 December 2018, the Company increased its issued and paid up capital amounting to USD 5,117,133. As of 31 December 2019 and 2018, the Company shares were 559,418 shares which have nominal value of Rp 444.737.310.000 or equivalent to USD 32,984,708.

15. ADVANCE PAID-IN CAPITAL

During 2019, the Company has received advance paid-in capital amounted to USD 4,404,825 from Salu Siwa Pty Ltd which will be converted to share capital.

16. GENERAL AND ADMINISTRATIVE EXPENSES

	2019	2018
Employee salaries and on costs	565,628	392,043
Consultants	98,029	75,598
Post-employment benefit expenses (note 12)	97,316	111,715
Transportation and accommodation	83,618	33,442
Rent	49,480	74,270
Professional fees	43,103	114,125
Depreciation (Note 6)	43,048	32,328
Office utilities	16,596	9,902
Tax expense	6,632	126,543
Amortization	1,507	4,655
Others	99,060	57,265
Total	<u>1,104,017</u>	<u>1,031,886</u>

17. NON CASH TRANSACTION

	2019	2018
Financing activities not effecting cash flows		
Unpaid addition of exploration and evaluation asset	290,175	537,857

Exhibit E/21

PT MASMINDO DWI AREA
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18. TRANSACTIONS AND BALANCES WITH RELATED PARTIES**a. Nature of relationships**

Related parties	Nature of Relationship	Transaction and balance due to related parties
Salu Siwa Pty. Ltd.	Shareholder	Nil

The Company received advance on equity amounted USD 5,117,118 in 2018 from Salu Siwa Pty. Ltd. On 18 December 2018, the advance on equity was converted to equity, and impacting increase the percentage of ownership of Salu Siwa Pty Ltd. from 99% to 99,9%.

Advance paid-in capital

	2019
Salu Siwa Pty. Ltd.	4,404,825

b. Key management personnel remuneration

Total remuneration received by Company's key management personnel paid in 2019 and 2018 were amounted to 166.440 and USD 166,440, respectively.

19. FINANCIAL INSTRUMENTS-RISK MANAGEMENT**Principal financial instruments**

The principal financial instruments used by the Company, from which financial instrument risk arises, are as follows:

- Cash and banks
- Trade payables
- Accrued expenses
- Due to related parties

A summary of the financial instruments held by category is provided below:

Financial assets

	Loans and receivables	
	2019	2018
Cash and banks	183,588	102,873

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19. FINANCIAL INSTRUMENTS-RISK MANAGEMENT (Continued)

Financial liabilities

	Financial liabilities at amortized cost	
	2 0 1 9	2 0 1 8
Trade payables	164,268	21,644
Accrued expenses	197,352	552,776
Total financial liabilities	361,620	574,420

The Company is exposed through its operations to the following financial risks:

- Credit risks
- Liquidity risks
- Operational risks
- Capital risks

In common with all other businesses, the Company is exposed to risks that arise from its use of financial instruments. This note describes the Company's objectives, policies and processes for managing those risks and the methods used to measure them. Further quantitative information in respect of these risks is presented throughout these financial statements.

There have been no substantive changes in the Company's exposure to financial instrument risks, its objectives, policies and processes for managing those risks or the methods used to measure them from previous periods unless otherwise stated in this note.

General objectives, policies and processes

The management has overall responsibility for the determination of the Company's risk management objectives and policies and, whilst retaining ultimate responsibility for them, it has delegated the authority for designing and operating processes that ensure the effective implementation of the objectives and policies to the Company's finance function.

The overall objective of the management is to set policies that seek to reduce risk as far as possible without unduly affecting the Company's competitiveness and flexibility. Further details regarding these policies are set out below:

a. Credit risks

Credit risk is the risk that counterparty fails to discharge an obligation to the Company. The Company is exposed to this risk for various financial instruments, for example by granting receivables and advances to customers and related parties and placing deposits.

The Company is still in the development phase and does not generate revenue. As such there is no credit risk as yet.

Exhibit E/23

PT MASMINDO DWI AREA
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19. FINANCIAL INSTRUMENTS-RISK MANAGEMENT (Continued)**General objectives, policies and processes (Continued)****a. Credit risks (Continued)**

Quantitative disclosures of the credit risk exposure in relation to financial assets are set out below:

	2019		2018	
	Carrying Value	Maximum exposure	Carrying value	Maximum exposure
Cash and banks excluding cash on hand	178,727	178,727	98,730	98,730

None of the Company's financial assets are secured by collateral or other credit enhancements.

b. Liquidity risks

Liquidity risk arises from the Company's management of working capital and the finance charges and principal repayments on its debt instruments. It is the risk that the Company will encounter difficulty in meeting its financial obligations as they fall due. As the Company receives strong financial support from its shareholders, hence this risk could be managed properly.

The Company manages its liquidity needs by carefully monitoring scheduled payments on obligation under credit financing as well as cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week basis, as well as on the basis of rolling 30-day projection.

The following table sets out the contractual maturities (representing undiscounted contractual cash-flows) of financial liabilities:

The Company's policy is to ensure that it will always have sufficient cash to allow them to meet its liabilities when they become due.

	Up to 3 Months	Between 3 and 12 months	Between 1 and 2 years
As of 31 December 2019			
Trade payables	164,268	-	-
Accrued expenses	137,188	60,164	-
Total	301,456	60,164	-

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
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19. FINANCIAL INSTRUMENTS-RISK MANAGEMENT (Continued)

General objectives, policies and processes (Continued)

b. Liquidity risks (Continued)

	Up to 3 Months	Between 3 and 12 months	Between 1 and 2 years
As of 31 December 2018			
Trade payables	21,644	-	-
Accrued expenses	552,776	-	-
Total	574,420	-	-

c. Operational risks

Operational risk is the risk of losses resulting from inadequate or failed of internal processes, human factors and systems or from external events. This risk is inherent in all business processes, operations, systems and products of the Company.

To minimize the internal process failures and loss's occurring due to that, the Company has in place SOP's (Standard Operational Procedures) for all key processes. There is a robust internal control regime for all expenditure and a very good accounting system to record and report on all expenditure in great detail.

The Company has an understanding that challenges and human related errors can occur while being in business and will at all times work towards minimizing the risks involved.

d. Capital risks

In managing capital, the Company safeguards its ability to continue as a going concern and to maximize benefits to the shareholders and other stakeholders.

The Company actively and regularly reviews and manages its capital to ensure the optimal capital structure and return to the shareholders, taking into the consideration the efficiency of capital use based on operating cash flow and capital expenditures and also consideration of future capital needs.

PT MASMINDO DWI AREA
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20. SUBSEQUENT EVENT

a. Increase the authorized capital

Articles of Association of the Company has its latest amendment as drawn at the Deed made by Darmawan Tjoa, S.H,S.E, a public notary in Jakarta based on the Deed No. 57 dated 23 January 2020 regarding the increase of authorized capital. The respective amendment of the Articles of Association has been approved by the Minister of Law and Human Rights of the Republic of Indonesia according to the Decree No. AHU-0006184.AH.01.02 TAHUN 2020 dated 23 January 2020.

b. Changes in the composition of the Board of Directors and Board of Commissioners

As per 30 January 2020, the Composition of Board of Director and Board of Commissioner of the Company has been changed, according to Deed from Darmawan Tjoa, S.H, S.E No. 69 dated 30 January 2020 and notification of such change has been received by the Ministry of Law and Human Rights pursuant to Notification receipt No. AHU-AH.01.03-0053875 dated 30 January 2020. The Composition of Board of Director and Board of Commissioner of the Company shall be as follows:

President Commissioner	:	Rob Alan Hogarth
Commissioner	:	Gregory Paul Foulis
Commissioner	:	Tatan Achmad Taufik, S.E
President Director	:	Boyke Poerbaya Abidin
Director	:	Adrian Reinhart Rollke
Director	:	Derek John Humphry
Director	:	Neil Simon Whitaker

c. Value added tax year 2012

Based on Directorate General of Tax's decision letter number: KEP-00056.PPN/WPJ.19/KP.01/2020, KEP-00055.PPN.WPJ.19/KP.01/2020, KEP-00054.PPN.WPJ.19/KP.01/2020, KEP-00062.PPN.WPJ.19/KP.01/2020, KEP-00053.PPN.WPJ.19/KP.01/2020, KEP-00063.PPN.WPJ.19/KP.01/2020, KEP-00057.PPN.WPJ.19/KP.01/2020, KEP-00051.PPN.WPJ.19/KP.01/2020, KEP-00059.PPN.WPJ.19/KP.01/2020, KEP-00060.PPN.WPJ.19/KP.01/2020, KEP-00052.PPN.WPJ.19/KP.01/2020, KEP-00061.PPN. WPJ.19/KP.01/2020 dated 23 January 2020, Tax Authority has granted to refund the excess of tax payments to the Company amounting to Rp 1,988,443,991 or equivalent to USD 145,695. As of 13 February 2020, The Company has received all of the refund from Tax Authority.

d. Subscription Agreement

On 25 February 2020, PT Masmindo Dwi Area (herein after refers to as the "the Company") has entered into Subscription Agreement regarding the issuance of new shares of the Company where the parties involved are: (i) the Company, (ii) PT Indika Mineral Investindo ("IMI"), and (iii) Nusantara Resource Limited ("NR") (herein after refers to as the "Subscription Agreement").

PT MASMINDO DWI AREA
NOTES TO THE FINANCIAL STATEMENTS
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20. SUBSEQUENT EVENT (Continued)

e. Subscription Agreement (Continued)

Pursuant to the Subscription Agreement, IMI and NR will, subject to the terms and conditions of the Subscription Agreement, each subscriber shall subscribe for number of shares of the Company during the Tranche 1 Completion or the Tranche 1 Conversion Date (as such terms are defined thereto) of the Subscription Agreement, IMI shall fund the Company of an amount equivalent to USD 15,000,000 to hold twenty five percent (25%) or equals to 234,228 shares capital of the Company at par value and NR through Salu Siwa Pty. Ltd. will hold seventy five percent (75%) or equals to 702,683 shares capital of the Company at par value. It is further contemplated that pursuant to the Subscription Agreement, IMI has the right but not the obligation, following the Tranche 1 Completion and subject to the terms and conditions of the Subscription Agreement, to subscribe of additional shares of the Company, at the time where IMI exercises such right, at the Tranche 2 Completion or the Tranche 2 Conversion Date (as such terms are defined thereto), IMI shall fund the Company of an amount equivalent to USD 25,000,000 to hold forty percent (40%) or equals to 514,289 shares capital of the Company at par value and NR through Salu Siwa Pty. Ltd. will hold sixty percent (60%) or equals to 771,433 shares of capital of the Company.

f. Shareholders Agreement

On 25 February 2020, PT Masmino Dwi Area (herein after refers to as the “the Company”) has entered into Shareholders Agreement regarding the provision of each shareholder of the Company, made by and between PT Indika Mineral Investindo, Nusantara Resource Limited, Salu Siwa Pty. Ltd., Vista Gold (Barbados) Corp. and the Company, the purpose of the Shareholders Agreement are among others, setting out right and obligations in regulating the management and supervision of the Company and ruling the relationship between PT Indika Mineral Investindo and Nusantara Resource Limited as shareholders of the Company.

21. COMPLETION OF FINANCIAL STATEMENTS

The management of the Company is responsible for the preparation of the financial statements that were completed on 6 March 2020.



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No. : 00141/2.1068/AU.1/02/0119-3/1/III/2020
Re : Financial Statements
31 December 2019

Independent Auditors' Report

The Shareholders, Board of Commissioners
and Directors
PT Masmino Dwi Area
J a k a r t a

We have audited the accompanying financial statements of PT Masmino Dwi Area ("Company"), which comprise the statement of financial position as of 31 December 2019 and the statement of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Indonesian Financial Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on such financial statements based on our audit. We conducted our audit in accordance with Standards on Auditing established by the Indonesian Institute of Certified Public Accountants. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether such financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

TANUBRATA SUTANTO FAHMI BAMBANG & REKAN

Tanubrata Sutanto Fahmi Bambang & Rekan (Certified Public Accountant), an Indonesian partnership, is a member of BDO International Limited, a UK company limited by guarantee, and forms part of the international BDO network of independent member firms.

Opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of PT Masmino Dwi Area as of 31 December 2019, and its financial performance and cash flows for the year then ended, in accordance with Indonesian Financial Accounting Standards.

Kantor Akuntan Publik
TANUBRATA SUTANTO FAHMI BAMBANG & Rekan



Santanu Chandra, CPA
License No. AP.0119

6 March 2020

IF/yn



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